# SAMSUNG ELECTRONICS

005930.KS | Memory pricing, production and capital returns | Full review, 6 November 2026

KRW trillions for financial schedules, billions for economic shares and KRW per share for ceilings. Calendar quarters. Future quarters are modeled.

| Analytical Base | Protected Excel Base | Active ceiling quarter | KRW per share |
|---|---|---|---|
| 83/100 | 90/100 | Q4 2027 | 479,497.55 |

The selected ceiling uses 911.820T of forward-four-quarter OP, a 3.350x multiple and 6.370409452B economic shares.

Sources and estimates are dated. Dividends have their own cash schedule. The latest actual-input bridge is separate from preserved historical forecast displays.

## 1. Pre-analysis: where Samsung sits in the memory cycle

Samsung supplies the framework's DB6 memory supercycle through HBM, server DRAM and enterprise NAND. AI training, longer-context inference, agent memory and dedicated user environments increase memory content across several tiers. Qualified wafer output, advanced packaging and cleanroom lead times limit the response. Conventional memory remains exposed to pricing cycles, customer inventories and investment returns.

The investment thesis sits in a continuing demand ramp with exceptionally high current scarcity profits. A precise percentage of eventual peak demand remains unmeasured. HBM4 is in commercial ramp; HBM4E is approaching its next qualification and volume phase; enterprise QLC and TLC cache workloads are expanding. Foundry and consumer devices have separate utilization and demand curves. The forecast therefore carries different physical, price and margin paths for each business.

Samsung's size concentrates the question on consolidated earnings capture. HBM co-design, foundry options and device AI strengthen its product reach. Memory dominates the modeled profit pool, while component inflation pressures devices and process investment consumes cash. The next 12-16 months have stronger evidence than the 2029-2030 trajectory. The model makes later supply growth, price normalization and HBM premium fade visible.

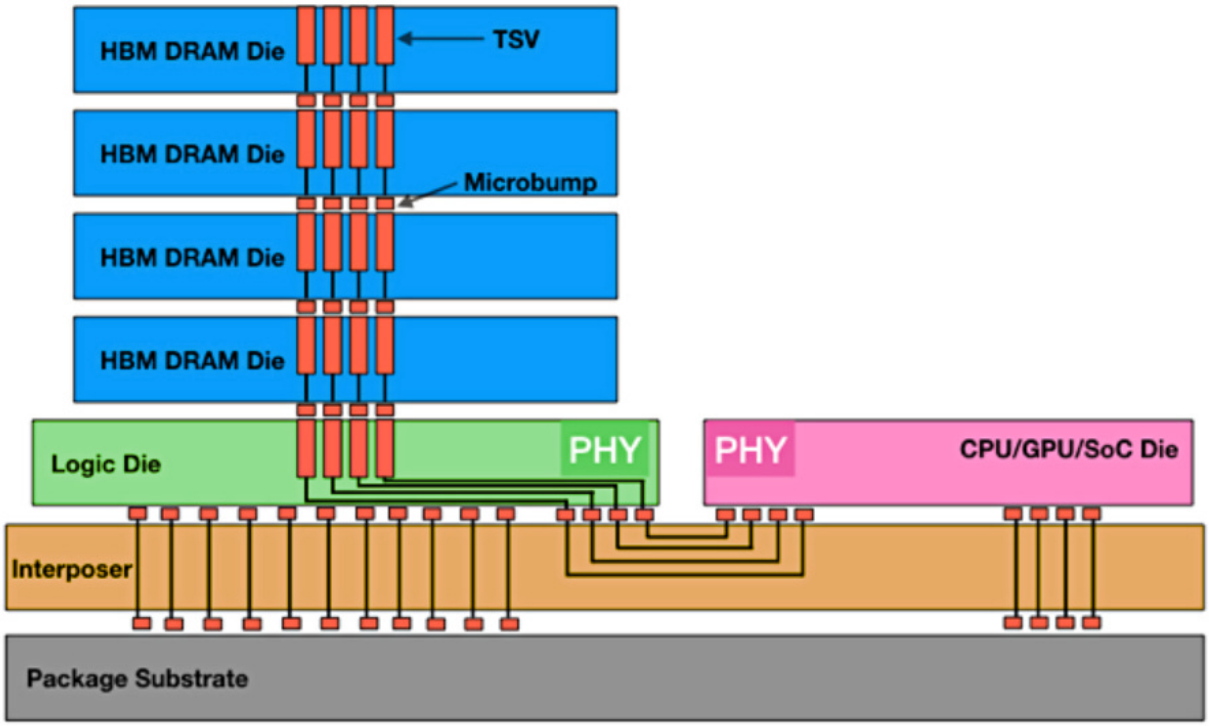
A single 30% joint scenario incorporates Nomura's company-specific pricing, accepted-output, manufacturing-cost, currency and investment forecasts. The remaining reference weight preserves the current issuer-anchored operating view. The active build combines operating and capital inputs before recalculating the complete cash and share-retirement law. Correlated source components enter this outcome together.

## 2. Products, moat and whole-company economics

Samsung combines memory process scale, packaging, logic base dies, a broad customer base and a large balance sheet. Its HBM4 product uses 1c DRAM and a 4nm logic base die; its HBM4E program extends the custom-memory opportunity. Accepted shipments, package yield, controller compatibility and manufacturing cost determine the economic benefit of this integration.

The segment build uses Memory inside DS, a separate System LSI/Foundry pool, DX and SDC/Harman. Intersegment sales are removed before consolidated revenue. Product-level HBM, conventional DRAM and NAND revenues and costs are analytical allocations because the company discloses neither a complete product income statement nor standalone Memory OP.

Common and preferred shareholders both participate in group economics. The forecast preserves the sanctioned common-plus-preferred economic share convention and the owner's absolute earnings-multiple schedule. A manufacturing advantage earns value through accepted output, cost and cash conversion in that same model.




HBM base-die, DRAM stack and interposer structure reproduced in the owner-supplied IA article. The diagram identifies production steps for the co-design hypothesis.

# 3. Latest results, guidance and management calls

Samsung reported Q3 2026 revenue of 195.3T and operating profit 107.4T in its October 29 Seoul release. The event began at 10:00 KST, corresponding to October 28 at 21:00 in Toronto. The issuer presentation carries its external-review qualification. The separate latest-actual input bridge supports the prospective forecast; published earlier-quarter forecast vintages remain preserved.

Memory revenue 140.7T is part of DS revenue 147.1T. DS OP 106.5T includes its other semiconductor activities. DX revenue 52.1T and OP -0.8T, SDC revenue 8.0T and OP 1.1T, and Harman revenue 4.3T and OP 0.6T reconcile group OP. Gross segment sales 211.5T require 16.2T of eliminations to reach group sales 195.3T.

Management described Q3 DRAM bit growth in the low-to-mid-single digits with ASP growth around 20%; NAND bits grew in the mid-single digits and ASP in the high teens. Q4 bit guidance is mid-to-high teens for DRAM and mid-teens for NAND. Numerical Q4 ASP guidance remains undisclosed. The selected price path is an explicit analytical assumption.

HBM4 sales increased more than threefold sequentially and reached 60% of HBM sales. Samsung says 2027 HBM supply is sold out at agreed target prices. HBM4E samples were supplied in May; mass production is planned for the first half of 2027 with the larger ramp in the second half. The latest and preceding full management-call texts provide prepared remarks and Q&A. Spoken audio remains unreviewed.

The complete saved Quartr Q3 call contains 94 paragraphs, including prepared remarks and Q&A; the Q2 call contains 99 paragraphs with the same scope. Their original and paragraph-derived bodies match the saved

hashes. A bounded 6 November check of the official Q3 news release confirmed the current reported anchors, capital plan and return-programme dates. The official IR earnings-release route was inaccessible during that check. The saved source set contains no newer issuer event.

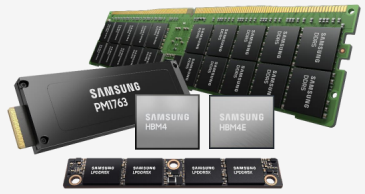
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# Memory

## Results

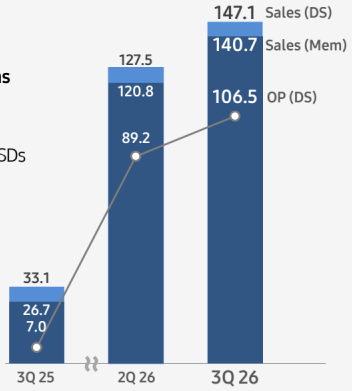
### 3Q 2026 Results

- **Another record-breaking quarterly revenue and operating profit**
  - Managed product-mix with focus on AI products amid limited capacity constraints
  - Market price increased across all applications, led by strong demand momentum for servers
- **Continued robust demand driven by AI applications**
  - Significantly scaled up HBM4 sales backed by industry-leading product competitiveness
  - Proactively addressed growing demand for server SSDs




### DS Results

Unit: KRW trillion




※ Image : Samsung HBM4/E, DDR5 RDIMM, SOCAMM2, V9 eSSD

## Outlook

### 4Q 2026

- **AI infrastructure investment to continue backed by industry-wide competition for AI leadership**
  - Further memory demand growth centered on products for new CPU/GPU platforms
  - Surging QLC SSD demand linked to the expansion of personal AI Agent services
- **Maintain AI application focused sales strategy**
  - Further increase sales of HBM, Server DRAM and SSDs
  - Increase supply of high-speed Server DDR5 and QLC

### 2027

- **AI infra CapEx to accelerate as AI ecosystem expands**
  - Surging AI-driven demand likely to further tighten supply shortages compared with CY26
- **Solidify competitiveness via technology leadership and P-Mix optimization aligned with market trends and VoC**
  - Lead high-end market & sharpen AI server driven portfolio
  - Build a stable sales base through long-term contracts and ensure timely readiness of new products tailored to requirements for AI applications

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Samsung Q3 2026 issuer memory page. HBM4 shipments, product outlook and capacity comments accompany the separate product-level analytical allocation.

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# Appendix 2: Results by Business Segment

## Sales

| KRW trillion | 3Q 25 | 2Q 26 | 3Q 26 | Difference(%) QoQ | Difference(%) YoY |
|---|---|---|---|---|---|
| Total | 86.1 | 171.5 | 195.3 | 14%↑ | 127%↑ |
| DX | 48.4 | 48.0 | 52.1 | 8%↑ | 8%↑ |
| MX / NW | 34.1 | 33.2 | 37.7 | 14%↑ | 11%↑ |
| MX | 33.5 | 32.3 | 37.3 | 15%↑ | 11%↑ |
| VD / DA | 13.9 | 14.5 | 13.9 | 4%↓ | 0.1%↓ |
| VD | 7.3 | 7.7 | 7.2 | 6%↓ | 1%↓ |
| DS | 33.1 | 127.5 | 147.1 | 15%↑ | 344%↑ |
| Memory | 26.7 | 120.8 | 140.7 | 16%↑ | 427%↑ |
| SDC | 8.1 | 7.5 | 8.0 | 7%↑ | 1%↓ |
| Harman | 4.0 | 4.6 | 4.3 | 5%↓ | 9%↑ |

## Operating Profit

| KRW trillion | 3Q 25 | 2Q 26 | 3Q 26 | Difference(Amount) QoQ | Difference(Amount) YoY |
|---|---|---|---|---|---|
| Total | 12.2 | 89.5 | 107.4 | 17.9↑ | 95.3↑ |
| DX | 3.5 | (0.8) | (0.8) | 0.01↓ | 4.3↓ |
| MX / NW | 3.6 | (0.7) | (0.6) | 0.1↑ | 4.2↓ |
| VD / DA | (0.1) | (0.01) | (0.2) | 0.2↓ | 0.1↓ |
| DS | 7.0 | 89.2 | 106.5 | 17.3↑ | 99.5↑ |
| SDC | 1.2 | 0.7 | 1.1 | 0.4↑ | 0.1↓ |
| Harman | 0.4 | 0.4 | 0.6 | 0.2↑ | 0.2↑ |

* Sales and operating profit of each business stated above reflect the organizational structure as of December 2021 and the sales of business units include intersegment sales.
* The DX Division provides earnings call materials based on the business structure before the reorganization to prevent confusion and to improve understanding among investors.
* DX: Device eXperience MX: Mobile eXperience DS: Device Solutions
* Sales and operating profit of VD/DA include the results of Health & Medical Equipment business.
* Harman's sales and operating profit figures are based on Samsung Electronics' fiscal year and acquisition related expenses are reflected.

Samsung Q3 2026 issuer segment results. DS includes Memory and System LSI/Foundry; consolidated sales require intersegment eliminations.

| Latest actual input | KRW T | Definition |
|---|---|---|
| Group revenue | 195.300 | Consolidated K-IFRS |
| Group OP | 107.400 | Reported group operating profit |
| Memory sales | 140.700 | Inside DS |
| DS revenue / OP | 147.100 / 106.500 | Includes LSI and Foundry |
| DX revenue / OP | 52.100 / -0.800 | Device cost pressure |
| SDC + Harman revenue / OP | 12.300 / 1.700 | Reported segment sums |
| Revenue eliminations | 16.200 | Gross segments less consolidated revenue |

# 4. Saleable output, price, manufacturing and operating costs

The current input bridge starts with reported Memory sales and DS profit. HBM exposure retains the dated 33.8T annual calibration and the embedded 49% ASP-growth reference. Conventional DRAM and NAND divide the remaining Memory revenue using the retained allocation ratio. I model standalone Memory OP of 107.0T using reported DS OP of 106.5T and a -0.5T other-DS OP proxy. The quarterly Memory opex anchor is a 9.0T proxy, which implies 24.7T manufacturing COGS within reported Memory sales of 140.7T. Samsung's standalone Memory OP, product costs and divisional opex remain undisclosed. These analytical allocations reconcile to the selected group and DS totals.

Product revenue follows accepted-output and realized-price indices. The reported Q3 Memory total remains 140.7T; the HBM, conventional-DRAM and NAND allocations retain their current proxy basis. The current Q3 actual-input reconstruction is separate from the immutable Q3 forecast display.

The selected Q4 total-DRAM output increase is 16.5933%, and NAND output increases 15.0004%. Calendar 2027 accepted total-DRAM and NAND output grow 24.2473% and 22.5884% using the explicitly reconstructed 2026 denominators. Calendar 2028 growth is 23.0296% and 21.2579%. Annual sums, quarter-specific levels and the retained HBM mix proxy determine these rates.

The capacity screen retains a 4% HBM physical-bit-share proxy, a 4x HBM wafer-trade assumption and 18% effective annual productivity improvement. Current accepted output implies wafer-load growth of 27.8624% in 2027 and 23.2874% in 2028. The corresponding required wafer-starts growth is 8.3579% and 4.4808%. The full denominator and lower-productivity tests appear beneath the figure. Absolute wafer starts, node productivity and usable capacity remain undisclosed.

Nomura's quarter-level DRAM data describe combined HBM and conventional memory. I normalize its own shipment and USD-price levels to the same Q3 source denominators. The conditional HBM allocation is retained within that combined revenue envelope; conventional DRAM receives the residual. This keeps one total-DRAM revenue pool. NAND uses its own matched shipment, price and currency series.

The source's 2027 Cost y-y rows are interpreted as USD unit-manufacturing trends:39% for HBM, 5% for commodity DRAM and 10% for NAND. Their full-year 2026 unit-cost bases are undisclosed. I use the current Q3 allocated unit-cost proxies as the stated normalization. Conditional COGS equals that proxy times accepted output times the source growth factor times quarterly KRW/USD divided by 1430. The source label and accounting gaps keep this calibration LOW confidence.

The conditional all-in HBM manufacturing endpoint includes its yield and packaging burden. Its former separate manufacturing-stress increment is removed inside that branch. The source cost path is translated into KRW once. The reference branch retains its own existing yield, packaging, currency-hedge and manufacturing-cost assumptions.

Nomura labels the same annual DRAM values as 1Gb equivalents in Figure 11 and 8Gb equivalents in Figure 20. The model uses matched within-figure ratios and makes no absolute conversion between those conflicting labels. NAND is labeled 8GB equivalents in both tables. The original excerpts and their complete unit labels accompany this discussion.

The Q2 call's booked first-half performance-incentive accrual remains part of the dated cost context. The recognized amount enters the Q3 cost anchor; the capitalized remainder and future programme terms remain unquantified. The manufacturing-cost path is all-in. No recurring 10.5%-of-future-OP charge is inferred from that historical accrual.

Cash PPE, intangible payments and depreciation have separate timing. The conditional 2027/2028 gross cash PPE assumptions are 105T/142T, and intangibles are 4.7T/4.9T. Incremental PPE enters service after two quarters over a five-year life; intangible amortization begins after one quarter over three years. These are explicit asset-cohort proxies. Accepted output comes from the operating forecast, with zero additional sales assigned directly to investment spending.

**Fig. 11: SEC – Earnings estimate revisions**

| (KRW tn) | 2026F Old | 2026F New | % y-y new | Diff. | Chg. (%) | 2027F Old | 2027F New | % y-y new | Diff. | Chg. (%) | 2028F Old | 2028F New | % y-y new | Diff. | Chg. (%) |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Sales** | **720.34** | **718.27** | **15.3%** | **-2.06** | **-0.3%** | **1,009.95** | **1,042.01** | **45.1%** | **32.06** | **3.2%** | **1,200.64** | **1,213.08** | **17.0%** | **18.44** | **1.5%** |
| Semiconductor | 539.46 | 535.83 | 313.2% | -3.63 | -0.7% | 847.08 | 881.30 | 64.5% | 34.21 | 4.0% | 1,035.82 | 1,070.39 | 21.5% | 34.57 | 3.3% |
| Memory | 509.01 | 508.16 | 390.3% | -0.84 | -0.2% | 808.87 | 851.51 | 67.6% | 42.64 | 5.3% | 992.67 | 1,037.95 | 21.9% | 45.28 | 4.6% |
| DRAM | 351.56 | 350.23 | 406.2% | -1.34 | -0.4% | 575.56 | 590.61 | 68.6% | 15.05 | 2.6% | 721.19 | 730.93 | 23.8% | 9.73 | 1.3% |
| NAND | 157.44 | 157.94 | 358.3% | 0.49 | 0.3% | 233.31 | 260.91 | 65.2% | 27.60 | 11.8% | 271.47 | 307.02 | 17.7% | 35.55 | 13.1% |
| System-LSI | 30.46 | 27.67 | 6.3% | -2.79 | -9.2% | 38.21 | 29.79 | 7.7% | -8.43 | -22.1% | 43.15 | 32.44 | 8.9% | -10.71 | -24.8% |
| Display panel | 31.79 | 30.05 | 1.4% | -1.74 | -5.5% | 32.55 | 30.46 | 1.4% | -2.09 | -6.4% | 31.23 | 29.57 | -2.9% | -1.67 | -5.3% |
| IT & Mob. Communication | 139.73 | 138.08 | 6.6% | -1.66 | -1.2% | 154.07 | 144.72 | 4.8% | -9.36 | -6.1% | 159.19 | 150.01 | 3.7% | -9.18 | -5.8% |
| Consumer Electronics | 57.21 | 56.32 | -1.8% | -0.89 | -1.6% | 55.67 | 53.75 | -4.6% | -1.91 | -3.4% | 54.73 | 53.15 | -1.1% | -1.58 | -2.9% |
| Harman | 18.35 | 17.30 | 9.4% | -1.05 | -5.7% | 20.53 | 19.34 | 11.8% | -1.18 | -5.8% | 22.96 | 21.63 | 11.8% | -1.33 | -5.8% |
| **Operating profit** | **391.31** | **388.28** | **790.5%** | **-3.03** | **-0.8%** | **635.01** | **664.77** | **71.2%** | **29.75** | **4.7%** | **774.39** | **808.38** | **21.6%** | **33.99** | **4.4%** |
| Semiconductor | 385.81 | 383.53 | 1449.9% | -2.28 | -0.6% | 627.29 | 660.97 | 72.3% | 33.68 | 5.4% | 761.20 | 801.21 | 21.2% | 40.01 | 5.3% |
| Memory | 393.87 | 390.50 | 1137.1% | -3.37 | -0.9% | 644.87 | 678.72 | 73.8% | 33.86 | 5.3% | 778.35 | 819.75 | 20.8% | 41.39 | 5.3% |
| DRAM | 281.12 | 279.64 | 852.0% | -1.48 | -0.5% | 466.58 | 483.65 | 73.0% | 17.07 | 3.7% | 570.46 | 590.59 | 22.1% | 20.12 | 3.5% |
| NAND | 112.76 | 110.86 | 4956.2% | -1.89 | -1.7% | 178.28 | 195.07 | 76.0% | 16.79 | 9.4% | 207.89 | 229.16 | 17.5% | 21.27 | 10.2% |
| System-LSI | -8.06 | -6.97 | na | 1.09 | na | -17.57 | -17.75 | na | -0.18 | na | -17.16 | -18.54 | na | -1.38 | na |
| Display panel | 3.59 | 3.24 | -24.1% | -0.35 | -9.7% | 3.97 | 3.46 | 7.0% | -0.51 | -12.8% | 3.90 | 3.70 | 6.7% | -0.20 | -5.2% |
| IT & Mob. Communication | 0.51 | 0.41 | -96.8% | -0.11 | -20.9% | 1.89 | -1.16 | na | -3.05 | na | 7.22 | 1.58 | na | -5.64 | -78.1% |
| Consumer Electronics | -0.10 | -0.27 | na | -0.17 | na | 0.22 | 0.16 | na | -0.06 | -27.9% | 0.22 | 0.23 | 45.9% | 0.00 | 1.6% |
| Harman | 1.56 | 1.86 | 15.5% | 0.30 | 19.4% | 1.77 | 1.46 | -21.4% | -0.31 | -17.3% | 1.98 | 1.80 | 23.0% | -0.18 | -9.2% |
| **Operating margin** | **54.3%** | **54.1%** | **41.0%p** | **-0.3%p** | | **62.9%** | **63.8%** | **9.7%p** | **0.9%p** | | **64.5%** | **66.3%** | **2.5%p** | **1.8%p** | |
| Semiconductor | 71.5% | 71.6% | 52.5%p | 0.1%p | | 74.1% | 75.0% | 3.4%p | 0.9%p | | 73.5% | 74.9% | -0.1%p | 1.4%p | |
| Memory | 77.4% | 76.8% | 46.4%p | -0.5%p | | 79.7% | 79.7% | 2.9%p | 0.0%p | | 78.4% | 79.0% | -0.7%p | 0.6%p | |
| DRAM | 80.0% | 79.8% | 37.4%p | -0.1%p | | 81.1% | 81.9% | 2.0%p | 0.8%p | | 79.1% | 80.8% | -1.1%p | 1.7%p | |
| NAND | 71.6% | 70.2% | 63.8%p | -1.4%p | | 76.4% | 74.8% | 4.6%p | -1.6%p | | 76.6% | 74.6% | -0.1%p | -1.9%p | |
| System-LSI | -26.5% | -25.2% | 1.0%p | 1.3%p | | -46.0% | -59.6% | -34.4%p | -13.6%p | | -39.8% | -57.1% | 2.5%p | -17.4%p | |
| Display panel | 11.3% | 10.8% | -3.6%p | -0.5%p | | 12.2% | 11.4% | 0.6%p | -0.8%p | | 12.5% | 12.5% | 1.1%p | 0.0%p | |
| IT & Mob. Communication | 0.4% | 0.3% | -9.6%p | -0.1%p | | 1.2% | -0.8% | -1.1%p | -2.0%p | | 4.5% | 1.1% | 1.9%p | -3.5%p | |
| Consumer Electronics | -0.2% | -0.5% | -0.1%p | -0.3%p | | 0.4% | 0.3% | 0.8%p | -0.1%p | | 0.4% | 0.4% | 0.1%p | 0.0%p | |
| Harman | 8.5% | 10.7% | 0.6%p | 2.3%p | | 8.6% | 7.6% | -3.2%p | -1.1%p | | 8.6% | 8.3% | 0.8%p | -0.3%p | |
| **Net Profit** | **326.61** | **301.15** | **580.4%** | **-25.45** | **-7.8%** | **545.24** | **566.09** | **88.0%** | **20.85** | **3.8%** | **655.81** | **677.72** | **19.7%** | **21.91** | **3.3%** |
| EPS (KRW) | 50,184 | 46,274 | 604.2% | -3,911 | -7.8% | 86,677 | 89,947 | 94.4% | 3,270 | 3.8% | 106,822 | 111,159 | 23.6% | 4,337 | 4.1% |
| EPS (KRW, Treasury adj.) | 51,012 | 47,036 | 604.6% | -3,975 | -7.8% | 86,954 | 90,190 | 91.7% | 3,236 | 3.7% | 107,396 | 111,985 | 24.2% | 4,589 | 4.3% |
| BPS (KRW, Treasury adj.) | 112,350 | 98,952 | 54.6% | -13,399 | -11.9% | 173,645 | 165,054 | 66.8% | -8,592 | -4.9% | 227,033 | 216,088 | 30.9% | -10,945 | -4.8% |
| ROE (%) | 57.1% | 56.9% | 46.1%p | -0.2%p | | 60.3% | 67.8% | 57.0%p | 7.5%p | | 53.0% | 57.8% | 47.0%p | 4.8%p | |
| **Key assumption** | | | | | | | | | | | | | | | |
| DRAM ASP (1Gb eq., US$) | 13.18 | 13.68 | 290.8% | 0.50 | 3.8% | 17.41 | 19.22 | 40.4% | 1.81 | 10.4% | 17.50 | 19.18 | -0.2% | 1.68 | 9.6% |
| DRAM cost (1Gb eq., US$) | 1.93 | 2.01 | -0.4% | 0.07 | 3.8% | 2.34 | 2.39 | 19.0% | 0.05 | 2.2% | 2.71 | 2.61 | 9.4% | -0.10 | -3.7% |
| DRAM shipments (1Gb eq., units mn) | 18,267 | 18,040 | 30.1% | -228 | -1.2% | 23,550 | 23,390 | 29.7% | -159 | -0.7% | 29,992 | 29,309 | 25.3% | -682 | -2.3% |
| DRAM revenue (W tn) | 352.49 | 354.04 | 413.4% | 1.55 | 0.4% | 576.12 | 591.12 | 67.0% | 15.01 | 2.6% | 721.69 | 730.93 | 23.7% | 9.24 | 1.3% |
| NAND flash ASP (8GB eq., US$) | 2.31 | 2.38 | 288.1% | 0.07 | 2.8% | 3.03 | 3.34 | 40.3% | 0.31 | 10.3% | 2.87 | 3.20 | -4.1% | 0.33 | 11.5% |
| NAND cost (8GB eq., US$) | 0.54 | 0.58 | 0.9% | 0.04 | 7.1% | 0.52 | 0.64 | 10.2% | 0.12 | 23.3% | 0.48 | 0.61 | -4.3% | 0.13 | 27.7% |
| NAND flash shipments (8GB eq., units mn) | 46,590 | 46,786 | 18.5% | 196 | 0.4% | 54,896 | 59,459 | 27.1% | 4,563 | 8.3% | 68,783 | 73,728 | 24.0% | 4,946 | 7.2% |
| NAND flash revenue (W tn) | 157.85 | 159.70 | 364.2% | 1.85 | 1.2% | 233.50 | 261.12 | 63.5% | 27.62 | 11.8% | 271.65 | 307.02 | 17.6% | 35.37 | 13.0% |
| Handset shipments (units mn) | 217 | 217 | -5.9% | 0 | 0.0% | 221 | 221 | 1.9% | 0 | 0.0% | 221 | 221 | 0.0% | 0 | 0.0% |
| Smartphone shipments (units mn) | 217 | 217 | -5.9% | 0 | 0.0% | 221 | 221 | 1.9% | 0 | 0.0% | 221 | 221 | 0.0% | 0 | 0.0% |
| Smartphone ASP (US$) | 323 | 327 | 13.7% | 5 | 1.5% | 374 | 374 | 14.1% | 0 | 0.0% | 398 | 398 | 6.6% | 0 | 0.0% |
| IT & Mobile Com. revenue (W tn) | 139.73 | 138.08 | 6.6% | -1.66 | -1.2% | 154.07 | 144.72 | 4.8% | -9.36 | -6.1% | 159.19 | 150.01 | 3.7% | -9.18 | -5.8% |
| IT & Mobile Com. OPM | 0% | 0% | -9.6%p | -0.1%p | | 1% | -1% | -1.1%p | -2.0%p | | 5% | 1% | 1.9%p | -3.5%p | |
| KRW/US$ | 1,464 | 1,434 | 1.0% | | -2.0% | 1,405 | 1,315 | -8.3% | | -6.4% | 1,375 | 1,300 | -1.1% | | -5.5% |

Source: Company data, Nomura estimates

Nomura, October 29, 2026, page 7, Figure 11. Operating revisions and key assumptions. DRAM uses a printed 1Gb label here; page 9 prints 8Gb for the matching values. Matched within-product ratios preserve this source inconsistency.

## Fig. 18: SEC – assumptions on DRAM (commodity, HBM), NAND ASP/cost/shipments

| Total | 2026F | | 2027F | |
|---|---|---|---|---|
| | Old | New | Old | New |
| **OP (KRW tn)** | **379** | **388** | **640** | **665** |
| y-y | 770% | 791% | 69% | 71% |
| DRAM | 272 | 280 | 461 | 484 |
| NAND | 111 | 111 | 191 | 195 |
| Other divisions | -4 | -2 | -10 | -14 |
| **OPM** | **54%** | **54%** | **64%** | **64%** |
| DRAM | 80% | 80% | 82% | 82% |
| Commodity | 81% | 81% | 84% | 84% |
| HBM | 65% | 53% | 74% | 68% |
| NAND | 72% | 70% | 76% | 75% |
| **DRAM Revenue (KRW tn)** | **340** | **350** | **562** | **591** |
| Commodity | 303 | 326 | 423 | 499 |
| HBM | 40 | 28 | 127 | 92 |
| **DRAM OP (KRW tn)** | **272** | **280** | **461** | **484** |
| Commodity | 249 | 269 | 357 | 425 |
| HBM | 26 | 14 | 94 | 60 |
| **DRAM OPM** | **80%** | **80%** | **82%** | **82%** |
| Commodity | 81% | 81% | 84% | 84% |
| HBM | 65% | 53% | 74% | 68% |
| **DRAM OP mix (%)** | | | | |
| Commodity | 92 | 96 | 77 | 88 |
| HBM | 10 | 5 | 20 | 13 |

Source: Nomura estimates

Nomura, October 29, 2026, page 8, Figure 18, first excerpt: product revenue, margins and mix. Broker profit figures remain source context; company-model profit is independently derived.

## Fig. 18: SEC – assumptions on DRAM (commodity, HBM), NAND ASP/cost/shipments

| Total | 2026F | | 2027F | |
|---|---|---|---|---|
| | Old | New | Old | New |
| **ASP y-y** | | | | |
| Commodity | 314% | 337% | 28% | 32% |
| HBM | 48% | 20% | 97% | 119% |
| **Cost y-y** | | | | |
| Commodity | -8% | -4% | 0% | 5% |
| HBM | -36% | -27% | 32% | 39% |
| **Bit shipment y-y** | **29%** | **30%** | **25%** | **30%** |
| Commodity | 23% | 25% | 19% | 27% |
| HBM | 156% | 124% | 75% | 62% |
| **Bit mix (%)** | | | | |
| Commodity | 90% | 91% | 86% | 89% |
| HBM | 10% | 9% | 14% | 11% |
| **NAND Revenue (KRW tn)** | **155** | **158** | **250** | **261** |
| **NAND OP (KRW tn)** | **111** | **111** | **191** | **195** |
| OPM | 72% | 70% | 76% | 75% |
| ASP y-y | 279% | 288% | 35% | 40% |
| Cost y-y | -6% | 1% | 1% | 10% |
| Bit shipment y-y | 19% | 18% | 25% | 27% |
| KRW/USD | 1,434 | 1,434 | 1,315 | 1,315 |

Source: Nomura estimates

Nomura, October 29, 2026, page 8, Figure 18, second excerpt with repeated source header: ASP, unit-cost and accepted-bit assumptions. The source footer is retained.

**Fig. 20: SEC – our key assumptions**

| | 2024 | 2025 | 1Q | 2Q | 3QP | 4QF | 2026F | 1QF | 2QF | 3QF | 4QF | 2027F | 2028F |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| DRAM ASP (8Gb eq., US$) | 2.90 | 3.50 | 8.91 | 12.78 | 14.97 | 16.91 | 13.68 | 18.68 | 19.07 | 19.43 | 19.58 | 19.22 | 19.18 |
| % q-q | | | 91% | 43% | 17% | 13% | | 10% | 2% | 2% | 1% | | |
| % y-y | 64% | 21% | 213% | 340% | 347% | 262% | 291% | 110% | 49% | 30% | 16% | 40% | 0% |
| DRAM shipments (8Gb eq., units mn) | 12,809 | 13,867 | 3,934 | 4,333 | 4,532 | 5,241 | 18,040 | 5,180 | 5,606 | 6,096 | 6,509 | 23,390 | 29,309 |
| % q-q | | | 2% | 10% | 5% | 16% | | -1% | 8% | 9% | 7% | | |
| % y-y | 15% | 8% | 32% | 32% | 21% | 36% | 30% | 32% | 29% | 35% | 24% | 30% | 25% |
| DRAM revenue (KRW bn) | 50,637 | 68,959 | 51,358 | 83,139 | 96,988 | 118,741 | 354,042 | 128,717 | 141,090 | 155,145 | 165,653 | 591,123 | 730,929 |
| % q-q | | | 97% | 62% | 17% | 22% | | 8% | 10% | 10% | 7% | | |
| % y-y | 96% | 36% | 316% | 524% | 457% | 355% | 413% | 151% | 70% | 60% | 40% | 67% | 24% |
| NAND ASP (8GB eq., USD) | 0.65 | 0.61 | 1.37 | 2.28 | 2.66 | 3.06 | 2.38 | 3.21 | 3.38 | 3.38 | 3.38 | 3.34 | 3.20 |
| % q-q | | | 88% | 66% | 17% | 15% | | 5% | 5% | 0% | 0% | | |
| % y-y | 60% | -6% | 138% | 311% | 356% | 319% | 288% | 134% | 48% | 27% | 10% | 40% | -4% |
| NAND shipments (8GB eq., units mn) | 37,826 | 39,498 | 11,048 | 11,059 | 11,479 | 13,201 | 46,786 | 13,201 | 14,389 | 15,396 | 16,474 | 59,459 | 73,728 |
| % q-q | | | 8% | 0% | 4% | 15% | | 0% | 9% | 7% | 7% | | |
| % y-y | 11% | 4% | 39% | 9% | 2% | 29% | 18% | 19% | 30% | 34% | 25% | 27% | 24% |
| NAND flash sales (KRW bn) | 33,624 | 34,405 | 22,225 | 37,857 | 43,699 | 54,155 | 159,702 | 56,438 | 64,108 | 68,076 | 72,285 | 261,120 | 307,020 |
| % q-q | | | 105% | 70% | 15% | 24% | | 4% | 14% | 6% | 6% | | |
| % y-y | 85% | 2% | 233% | 381% | 381% | 401% | 364% | 154% | 69% | 56% | 33% | 64% | 18% |
| Smartphone shipments (units mn) | 228 | 231 | 58 | 53 | 56 | 50 | 217 | 59 | 54 | 56 | 52 | 221 | 221 |
| % q-q | | | 8% | -10% | 7% | -10% | | 18% | -8% | 3% | -8% | | |
| % y-y | 2% | 1% | -5% | -3% | -8% | -7% | -6% | 2% | 3% | 0% | 2% | 2% | 0% |
| Smartphone ASP (USD) | 282 | 288 | 341 | 306 | 359 | 299 | 327 | 396 | 340 | 394 | 362 | 374 | 398 |
| % q-q | | | 34% | -10% | 17% | -17% | | 32% | -14% | 16% | -8% | | |
| % y-y | 3% | 2% | 9% | 13% | 18% | 17% | 14% | 16% | 11% | 10% | 21% | 14% | 7% |
| IT&Mobile Com. OPM | 9% | 10% | 7% | -2% | -2% | -4% | 0% | 0% | -2% | -1% | 0% | -1% | 1% |
| % q-q | | | 0.9% | -9.5% | 0.5% | -2.0% | | 3.1% | -2.0% | 1.8% | 1.0% | | |
| % y-y | -2.6% | 0.8% | -4.3% | -12.7% | -11.9% | -10.2% | -9.6% | -7.9% | -0.4% | 1.0% | 4.0% | -1.1% | 1.9% |
| IT&Mobile Com. revenue (W bn) | 119,988 | 129,494 | 37,890 | 33,246 | 37,722 | 29,219 | 138,077 | 40,139 | 32,907 | 38,093 | 33,577 | 144,716 | 150,008 |
| % q-q | | | 29% | -12% | 13% | -23% | | 37% | -18% | 16% | -12% | | |
| % y-y | 8% | 8% | 3% | 14% | 11% | 0% | 7% | 6% | -1% | 1% | 15% | 5% | 4% |
| OLED unit (000'/month) | 343,834 | 330,249 | 25,632 | 26,097 | 26,276 | 27,823 | 317,485 | 24,365 | 25,855 | 32,131 | 29,321 | 335,013 | 332,260 |
| % q-q | | | -24% | 2% | 1% | 6% | | -12% | 6% | 24% | -9% | | |
| % y-y | -7% | -4% | 7% | 13% | -10% | -18% | -4% | -5% | -1% | 22% | 5% | 6% | -1% |
| OLED flexible mix (%) | 57% | 61% | 54% | 57% | 66% | 67% | 61% | 55% | 58% | 63% | 63% | 60% | 0% |
| OLED revenue (W bn) | 27,531 | 27,979 | 6,021 | 6,654 | 6,948 | 6,879 | 26,580 | 5,128 | 5,693 | 7,399 | 6,579 | 24,823 | 23,995 |
| % q-q | | | -33% | 11% | 4% | -1% | | -25% | 11% | 30% | -11% | | |
| % y-y | -7% | 2% | 10% | 12% | -8% | -24% | -5% | -15% | -14% | 6% | -4% | -7% | -3% |
| OLED total OPM | 15% | 16% | 7% | 11% | 15% | 14% | 12% | 9% | 11% | 17% | 14% | 13% | 14% |
| OLED total OP (W bn) | 4,076 | 4,430 | 445 | 721 | 1,074 | 981 | 3,221 | 443 | 608 | 1,255 | 928 | 3,235 | 3,466 |
| % q-q | | | -77% | 62% | 49% | -9% | | -55% | 37% | 106% | -26% | | |
| % y-y | -38% | 9% | -29% | 15% | -11% | -50% | -27% | 0% | -16% | 17% | -5% | 0% | 7% |
| OP (KRW bn) | 32,726 | 43,601 | 57,233 | 89,492 | 107,441 | 134,842 | 388,277 | 142,020 | 157,085 | 172,195 | 193,468 | 664,768 | 808,380 |
| % q-q | | | 185% | 56% | 20% | 26% | | 5% | 11% | 10% | 12% | | |
| % y-y | 398% | 33% | 756% | 1814% | 783% | 572% | 791% | 148% | 76% | 60% | 43% | 71% | 22% |
| EPS (KRW, annualized) | 4,977 | 6,676 | 7,237 | 11,131 | 11,747 | 16,802 | 47,036 | 18,964 | 21,283 | 23,329 | 26,107 | 90,190 | 111,985 |
| % q-q | | | 149% | 54% | 6% | 43% | | 13% | 12% | 10% | 12% | | |
| % y-y | 134% | 34% | 504% | 1408% | 549% | 477% | 605% | 162% | 91% | 99% | 55% | 92% | 24% |
| BPS (KRW) | 57,981 | 63,997 | 72,827 | 88,256 | 96,753 | 98,952 | 98,952 | 115,687 | 135,992 | 158,723 | 165,054 | 165,054 | 216,088 |
| % q-q | | | 14% | 21% | 10% | 2% | | 17% | 18% | 17% | 4% | | |
| % y-y | 11% | 10% | 23% | 52% | 60% | 55% | 55% | 59% | 54% | 64% | 67% | 67% | 31% |
| ROE | 9.0% | 10.8% | 41.9% | 54.9% | 50.8% | 68.7% | 56.9% | 70.6% | 67.3% | 63.2% | 64.4% | 67.8% | 57.8% |
| KRW/USD | 1,364 | 1,420 | 1,465 | 1,502 | 1,430 | 1,340 | 1,434 | 1,330 | 1,320 | 1,310 | 1,300 | 1,315 | 1,300 |
| % q-q | | | 1% | 3% | -5% | -6% | | -1% | -1% | -1% | -1% | | |
| % y-y | 4% | 4% | 1% | 7% | 3% | -8% | 1% | -9% | -12% | -8% | -3% | -8% | -1% |

Source: Company data, Nomura estimates

Nomura, October 29, 2026, page 9, Figure 20. Exact quarterly matched DRAM/NAND units, ASP and FX levels control the normalized source branch. The page labels DRAM as 8Gb and NAND as 8GB.

## Current actual-input anchor and product allocation

Q3 2026 reported Memory sales are 140.7T. The product allocation and standalone Memory operating cost below are analytical proxies within that issuer total. This current reconstruction has its own information date; published historical forecast displays keep their original vintage.

| Product | Allocated sales T | Cost weight | Allocated COGS T | Allocated GP T |
|---|---|---|---|---|
| HBM | 8.604797781 | 2.00 | 2.664991389 | 5.939806392 |
| Conventional DRAM | 91.298057341 | 1.00 | 14.137957849 | 77.160099492 |
| NAND | 40.797144878 | 1.25 | 7.897050762 | 32.900094116 |

Allocated product COGS equals 24.7T times product sales times its cost weight, divided by total weighted product sales. The 107T Memory OP and 9T quarterly opex assumptions reconcile 140.7T sales to 24.7T COGS. The new annual unit-cost calibration uses these Q3 allocated costs and retains a dedicated exclusion sensitivity.

## Current accepted-output normalization and capacity

Each product uses its own Q3 2026 accepted-output index of 1. Annual sums measure index-quarter units. The 2026 comparison denominators are 3.928041177 HBM, 3.994780402 combined DRAM and 4.027026574 NAND. Q1/Q2 growth midpoints and the current selected Q4 forecast construct this comparison; historical Excel forecasts remain frozen.

The active path combines 70% of the retained operating inputs and 30% of one correlated Nomura outcome. It derives effective selling prices and costs from the resulting revenue, units and manufacturing amounts. Total DRAM equals 0.04 times HBM plus 0.96 times conventional-DRAM output. The source DRAM unit label differs between its page 7 and page 9 tables, so the calculation uses matched within-product ratios.

| Year | HBM units | Conv.DRAM units | Total DRAM units | NAND units | DRAM YoY | NAND YoY |
|---|---|---|---|---|---|---|
| 2027 | 6.225945 | 4.910799 | 4.963405 | 4.936667 | 24.2473% | 22.5884% |
| 2028 | 7.782432 | 6.036624 | 6.106456 | 5.986097 | 23.0296% | 21.2579% |
| 2029 | 8.907447 | 6.851330 | 6.933575 | 6.776380 | 13.5450% | 13.2020% |
| 2030 | 9.928910 | 7.785636 | 7.871367 | 7.669062 | 13.5254% | 13.1734% |

### Source-to-current price, output and unit-cost transmission

The conditional branch uses exact source quarterly DRAM and NAND levels relative to Q3: 4,532M DRAM units at USD 14.97 and 11,479M NAND units at USD 2.66, with KRW/USD 1,430. Rounded source growth percentages provide a cross-check. Exact level ratios control the calculation. Source annual summaries and sums of quarterly observations retain their reported rounding and aggregation differences.

Calendar 2027 source unit-cost increases are 39% HBM, 5% conventional DRAM and 10% NAND. Full-year 2026 comparable unit costs are unavailable. The selected conditional formula is Q3 allocated product unit cost times conditional units times (1 + the source annual increase) times quarter FX / 1,430. This annual-to-Q3 calibration is a low-confidence proxy. Calendar 2028 uses the matched source DRAM cost ratio 2.61 / 2.39 and NAND 0.61 / 0.64 after the stated mix normalization.

The conditional all-in HBM manufacturing cost includes the separate yield and packaging burden. Its costs are translated into KRW once. HBM pricing remains within the retained 121% conditional premium at 60% realization. Source blended DRAM ASP includes HBM mix and LTA effects; a second positive LTA overlay receives zero conditional credit. The new operating increment halves in 2029 and reaches zero in 2030. Cash, depreciation and retirement cohorts retain their actual timing.

## 5. HBM pricing, qualification and Rule16b realization

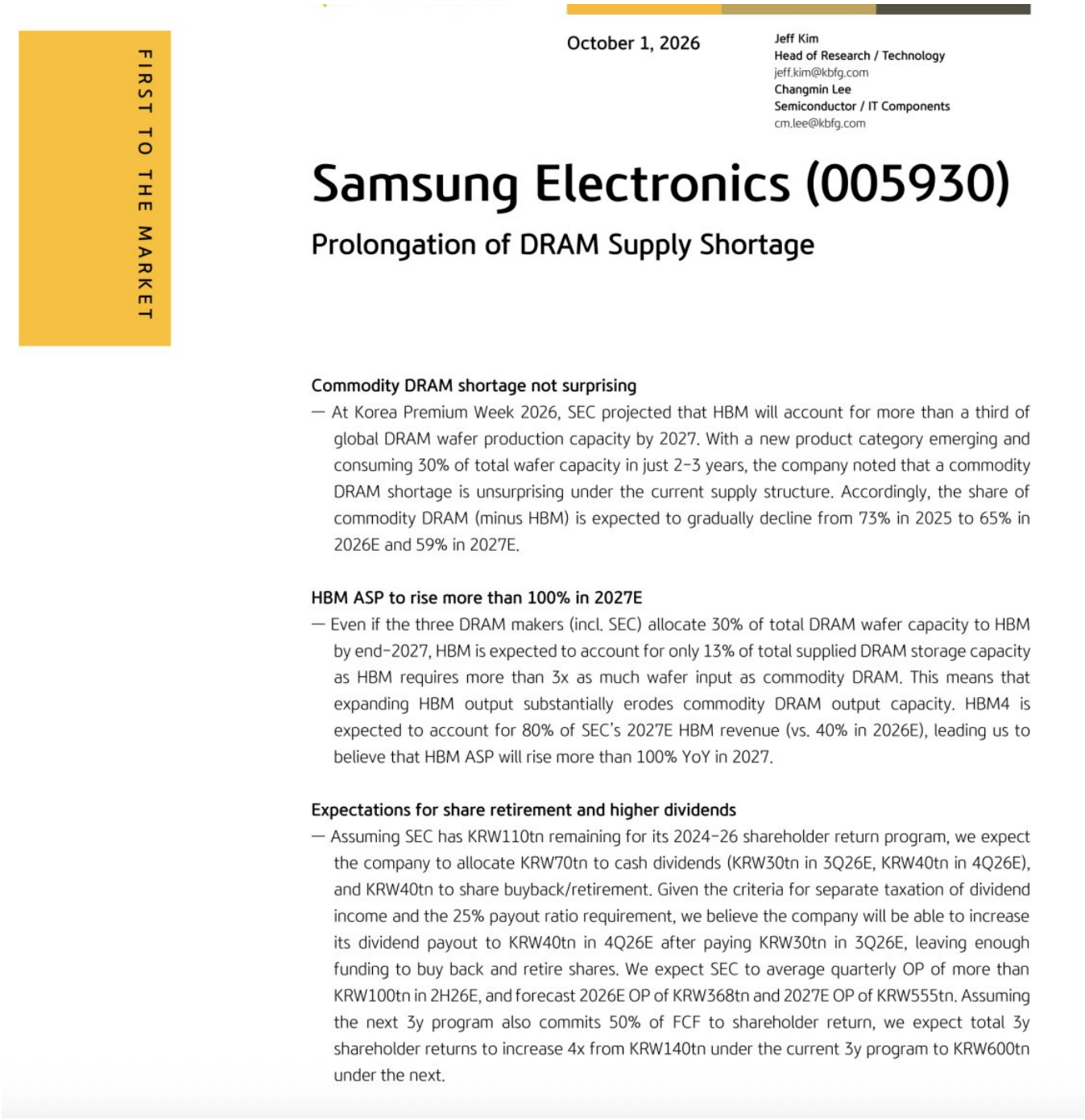
The reference HBM calibration retains 33.8T annual sizing, 57%2027 bit growth and 49% embedded price growth. The existing 121% conditional price/mix hypothesis receives 60% realization and includes manufacturing and support costs. Its premium remains full through 2028, halves in 2029 and ends in 2030.

Nomura's 119% HBM price-growth forecast lies within that existing pricing hypothesis. It receives no additional price-premium overlay. Its 62% bit-growth assumption changes the output allocation inside the new joint scenario. The source's 28T 2026 HBM sales base differs from the retained 33.8T proxy. Its rounded 92T 2027 revenue is an attributed cross-check; the model derives its own product revenue from the preserved Q3 allocation and matched indices.

The source's manufacturing and product-mix forecasts have different economic implications for HBM and commodity memory. The conditional cost calculation replaces overlapping manufacturing stresses, while the retained 5% incremental HBM support-expense assumption continues to apply to the modeled incremental sales.

KB's October 1 owner-supplied note projects HBM4's revenue mix rising from 40% to 80% and HBM ASP growth above 100% in 2027. Its company-attributed wafer-allocation discussion helps frame conventional DRAM scarcity. Its dated 555T total-company 2027 OP estimate is a useful external scale cross-check. The current issuer sources and product build determine this report's forecasts.

Increase or reduce realization weights with comparable-unit contract pricing, accepted shipments, stack and base-die mix, package yield, cost and qualification timing. A new independent signal must support the specific future outcome. Repeated descriptions of the same Q3 issuer event carry the same evidence group.



FIRST TO THE MARKET

October 1, 2026

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# Samsung Electronics (005930)

## Prolongation of DRAM Supply Shortage

**Commodity DRAM shortage not surprising**

— At Korea Premium Week 2026, SEC projected that HBM will account for more than a third of global DRAM wafer production capacity by 2027. With a new product category emerging and consuming 30% of total wafer capacity in just 2-3 years, the company noted that a commodity DRAM shortage is unsurprising under the current supply structure. Accordingly, the share of commodity DRAM (minus HBM) is expected to gradually decline from 73% in 2025 to 65% in 2026E and 59% in 2027E.

**HBM ASP to rise more than 100% in 2027E**

— Even if the three DRAM makers (incl. SEC) allocate 30% of total DRAM wafer capacity to HBM by end-2027, HBM is expected to account for only 13% of total supplied DRAM storage capacity as HBM requires more than 3x as much wafer input as commodity DRAM. This means that expanding HBM output substantially erodes commodity DRAM output capacity. HBM4 is expected to account for 80% of SEC's 2027E HBM revenue (vs. 40% in 2026E), leading us to believe that HBM ASP will rise more than 100% YoY in 2027.

**Expectations for share retirement and higher dividends**

— Assuming SEC has KRW110tn remaining for its 2024-26 shareholder return program, we expect the company to allocate KRW70tn to cash dividends (KRW30tn in 3Q26E, KRW40tn in 4Q26E), and KRW40tn to share buyback/retirement. Given the criteria for separate taxation of dividend income and the 25% payout ratio requirement, we believe the company will be able to increase its dividend payout to KRW40tn in 4Q26E after paying KRW30tn in 3Q26E, leaving enough funding to buy back and retire shares. We expect SEC to average quarterly OP of more than KRW100tn in 2H26E, and forecast 2026E OP of KRW368tn and 2027E OP of KRW555tn. Assuming the next 3y program also commits 50% of FCF to shareholder return, we expect total 3y shareholder returns to increase 4x from KRW140tn under the current 3y program to KRW600tn under the next.

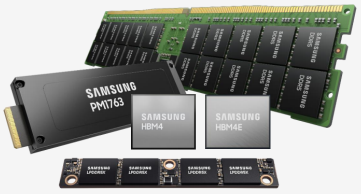
KB Securities owner-supplied note, October 1, 2026, Jeff Kim and Changmin Lee. Company-attributed allocation commentary and analyst pricing/mix forecasts preserve their evidence status.

# Memory

## Results

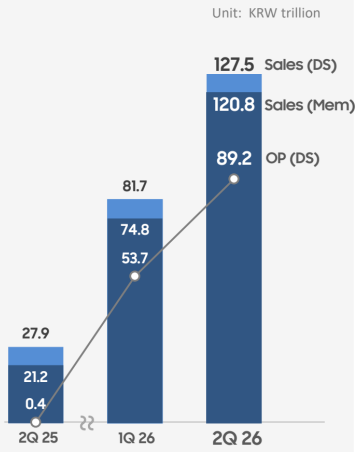
### 2Q 2026 Results

- **Achieved another record-breaking quarterly earnings**
  - Proactively addressed AI demand with primary focus on server despite limited capacity
  - Continued industry-wide upward price trend
- **Solidified market competitiveness via industry-leading products**
  - Achieved record-high server revenue mix
  - Scaled up HBM4 sales with industry-leading performance
  - Shipped industry's 1st HBM4E samples to major customers




※ Image : Samsung HBM4/E, DDR5 RDIMM, SOCAMM2, V9 eSSD

### DS Results




## Outlook

### H2 2026

- **Expect robust demand centered on server backed by continued AI Infrastructure CapEx**
  - Strong server demand driven by broader adoption of agentic AI
  - Accelerating growth in demand for server DRAM, Enterprise SSD and HBM expected to keep the market undersupplied despite partial demand moderation in mobile and PC
- **Continue leading the market via technology leadership**
  - Seek to optimize portfolio based on demand trends by application and customer feedback; supply constraints to continue in spite of efforts to increase production
  - Plan to lead the market by addressing strong demand with a focus on high-value-added products, such as HBM4, DDR5, SOCAMM2, etc.
  - Extend the leadership into next-generation AI platforms, following the industry's 1st HBM4E sample shipment as well as the Gen6 and UFS 5.0 market penetration in H1.

7

Samsung Q2 2026 earnings presentation, July 30, memory page. The separate Q3 2026 issuer exhibit supplies the current reported figures.

## Fig. 18: SEC – assumptions on DRAM (commodity, HBM), NAND ASP/cost/shipments

| Total | 2026F | | 2027F | |
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| **OP (KRW tn)** | **379** | **388** | **640** | **665** |
| y-y | 770% | 791% | 69% | 71% |
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Source: Nomura estimates

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| Bit shipment y-y | 19% | 18% | 25% | 27% |
| KRW/USD | 1,434 | 1,434 | 1,315 | 1,315 |

Source: Nomura estimates

Nomura, October 29, 2026, page 8, Figure 18, second excerpt with repeated source header: ASP, unit-cost and accepted-bit assumptions. The source footer is retained.

# 6. NAND, inference memory and adjacent addressable markets

Agentic inference creates a hierarchy of fast local memory, reusable context storage and high-capacity persistent data. Samsung cites TLC demand for KV-cache storage and high-density QLC for dedicated virtual environments and personal agents. Its V10 TLC was production-ready in Q3 and the 256 TB V9 QLC drive is scheduled for early 2027. These are product and timing signals; customer awards and incremental dollars remain undisclosed.

The active NAND path combines the retained reference benchmark and the correlated source outcome. Its Q4 ASP index is 1.18511266 against the Q3 normalization of 1. The source branch uses its exact matched-quarter price and shipment levels, while 2028 uses annual source levels with the current seasonal output shares. The full table states the price and volume effects separately.

Ten signed LTAs, compared with five previously, demonstrate contract progress. Ten additional major accounts remain in discussions. The 60%-70% medium-to-long-term capacity objective is unchanged. Capacity targets, signed volumes, deposits and price formulas require separate measurements. A greater signed-contract count supports an incremental contract branch within the uncovered conventional-memory slice; the overlap adjustment prevents a second charge for scarcity already embedded in ASP. Nomura's combined-DRAM price already includes LTA ceilings and the non-LTA price response. The separate positive LTA increment is removed inside that conditional branch to keep contract economics counted once.

Custom HBM base dies, advanced packaging, foundry process wins, device AI and robotics provide adjacent opportunities. Internal supply enters group economics through consolidation. The forecast contains its foundry/system semiconductor and device recovery assumptions. Exact incremental awards, yield and utilization economics remain the tests for enlarging that path.

The company forecast is a capture model across overlapping markets. Sector TAM multiplied by plausible capture, product mix, realized price and production capacity must reconcile to the quarterly revenue and profit path. Later-year margins are demanding and remain a prominent falsification test.

# 7. Co-design and optical-memory architecture

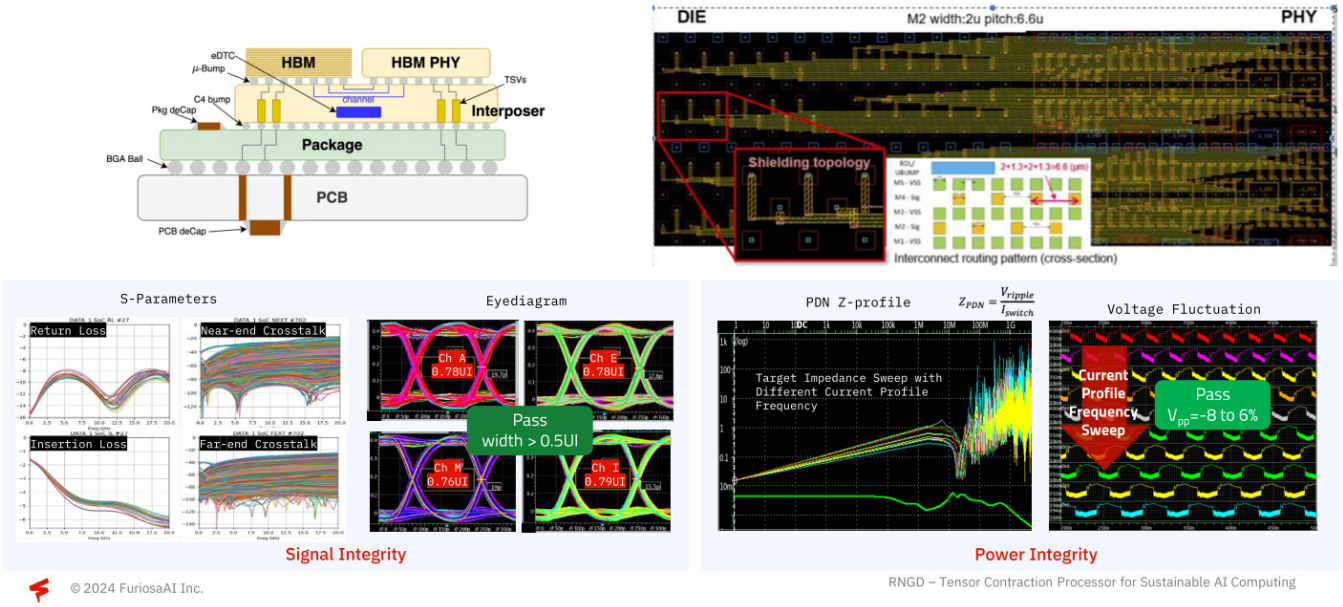
The supplied IA article illustrates HBM package and signal-integrity challenges and proposes optical access to pooled DRAM. Samsung's co-design can improve channel engineering, packaging and qualification. The Furiosa exhibit measures a specific ASIC-to-base-die package path. Samsung's internal stack parasitics and qualification distributions remain undisclosed.

The NVIDIA ISSCC link comparison shows 256 Gb/s per fiber, 0.8 Tb/s/mm bidirectional shoreline density and total link-energy estimates of 2.59/2.51 pJ per bit. Its footnotes specify 10% fiber-coupled laser efficiency, thermal assumptions and a one-data-lane/one-clock-lane PRBS7 measurement. Memory-access latency, controller cost, utilization and delivered application bandwidth require further system evidence.

The retained architecture ledger assigns 25% probability to at least one material optical-attached DRAM program by end 2029. The bounded economic bridge considers displaced HBM sales, Samsung-captured replacement DRAM, avoided HBM manufacturing, replacement interface cost and incremental qualification opex. An attempted 0%-100% affected-HBM envelope lacks a defensible named cohort and can reverse the sign of the outcome. Its overlap with existing heterogeneous-memory growth leaves zero incremental revenue and OP in the active path.

The separate 20% probability assigned to the author's 90% peak-HBM decline by 2033-2036 describes the distant endpoint of the same substitution mechanism. Its forecast endpoint falls beyond 2030, and the active earnings contribution is zero. These correlated architecture observations receive a common overlap treatment. A qualified named cohort, comparable system economics and a credible deployment schedule can change the ledger.

The package/co-design hypothesis also contributes zero separate revenue or OP beyond the HBM production and pricing branch. Existing cost and yield stresses already cover that mechanism, and internal foundry transfers reconcile within group profit.




Furiosa AI Hot Chips 2024 package example reproduced in the owner-supplied IA article. ASIC-to-base-die signal integrity and Samsung stack qualification involve separate measurements.

# Performance Comparison

| | | This work | VLSI'22 [1] | VLSI'23 [9] | ISSCC'23 [3] |
|---|---|---|---|---|---|
| Process | EIC | 7nm FinFET | 45nm SOI CMOS | 28nm CMOS | 7nm CMOS |
| | PIC | 65nm SOI SiPh | | 300mm SOI SiPh | 45nm SOI SiPh |
| Integration | | Hybrid | Monolithic | Hybrid | Hybrid |
| Architecture | | FC | EC | EC | EC |
| Number of wavelengths | | 9 | 8 | 8 | 7 |
| Per-λ Data rate <Gbps> | | 32 | 16 | 32 | 50 |
| Per-Fiber Data rate <Gbps > | | 256 | 128 | 256 | 350 |
| TX+RX Lane size <mm²> | | 0.013 | - | ~1 | 0.031 (RX only) |
| EIC shoreline density[a] <Tbps/mm> | | **0.8** | ~0.14 | ~0.064 | - |
| EIC area density[b] <Tbps/mm² > | | **1.33** | ~0.064 | ~0.032 | - |
| RX sensitivity OMA <dBm> | | **<-16.0**[c] | - | -10 | -10.1 to -11.4 |
| BER | | <1E-11 | <6.9E-12 | <1E-12 | <1E-12 |
| Energy efficiency <pJ/b> | Laser | **0.76**[d] | - | - | - |
| | Thermal | **0.57**[e]\|0.49[f] | <0.6 | - | - |
| | TRX + Clock + TT circuits | **1.26** | 4.9-5 | 3.8 (RX only) | 0.96 (RX only) |
| | Total | **2.59**\|2.51 | - | - | - |

[a] **Bi-directional, 1-PHY deep** (0.6mm). [b] Bi-directional. [c] Measured with one data lane and one FWDCLK ON, PRBS7 pattern. [d] Assuming **10%** fiber-coupled laser WPE. [e] Measured with the bench laser. [f] Estimated based on the measured heater efficiency, covering 3σ of ring and laser variation.



NVIDIA ISSCC 2026 optical-link comparison reproduced in the owner-supplied IA article. Preserve its laser efficiency, thermal and test-pattern assumptions when assessing link metrics.

## 8. Analytical score and protected portfolio Base

The framework score remains 50/60, which rounds to an analytical Base of 83/100. The protected portfolio Excel Base is 90/100 under the owner override. The category table exposes the score arithmetic and existing four-point aggregate risk deduction.

Memory capacity, contracted visibility and HBM execution support the thesis, cycle and TAM categories. Broad coverage limits information asymmetry. Company-wide score improvements require evidence beyond an earnings increment already priced into the same case.

| Category | Points | Max | Assessment |
|---|---|---|---|
| Core Thesis | 17 | 20 | Memory process scale, qualification and HBM integration remain valuable. Diversified group exposure remains in the score. |
| Cycle Stage | 10 | 10 | Strong accepted-output growth and new capacity retain the demand-ramp thesis; contracts and later normalization retain cyclical risk. |
| TAM Expansion | 10 | 10 | HBM, server DRAM, enterprise NAND and adjacent workloads already receive the expanded-TAM score. |
| Catalysts | 5 | 5 | 2027contract resets, HBM4E qualification, P4/P5 execution and board returns remain dated catalysts. |
| Macro | 10 | 10 | AI infrastructure demand remains supportive. Currency pressure is explicitly modeled. |
| Alpha | 2 | 5 | Broad company and broker coverage limits information asymmetry. |
| Risks | -4 | 0 | New cost, currency and contract details refine existing risk classes. |

Score arithmetic: 17 + 10 + 10 + 5 + 10 + 2 - 4 = 50 points out of 60. The rounded analytical Base is 83. The retained Excel Base is 90.

Risk deduction: competitive supply and contract-price cyclicality; manufacturing, qualification and capacity execution; capital allocation, governance, share-class and currency exposure; customer demand and device-cost pressure.

# 9. Quarterly operating build and economic transmission

The following schedules cover all 17 modeled calendar quarters from Q4 2026 through Q4 2030. Product revenue, cost, expense and group consolidation use the same financial model as the charts. Each chart has its numerical table immediately below it.

The new source probability is 30%, the middle of the framework's single-credible-source band. Nomura supplies explicit company quantities, prices, manufacturing assumptions, FX and capital tables. It also repeats the already-reviewed Q3 issuer event. Those repeated facts support the same source group and supply no independent probability escalation. The cost-denominator, unit-label and quarterly-allocation uncertainties remain explicit.

The 30% outcome is joint across product prices, quantities, costs, currency and capital. Each endpoint is evaluated as a coherent operating forecast. The active build weights its revenue, production-cost, support-expense, output and capital inputs, derives consistent effective prices and costs, then recomputes the existing cash, tax, NWC, dividend and retirement equations.

The selected calendar 2027 forecast has revenue 1103.538T, operating profit 755.650T and owner-defined FCF 476.480T. Calendar 2028 has revenue 1310.100T, OP 947.302T and FCF 641.138T. All 17 quarterly statements reconcile to those annual sums.

The device-memory BOM and non-memory business paths retain their existing company-specific assumptions. Internal segment eliminations reconcile gross sales to consolidated revenue. The charts, tables and per-share valuations all read the exact same selected financial and valuation payloads.

### Rule16b joint-source ledger and overlap

The new evidence receives a 30% probability within the framework single-source range. Nomura provides explicit company operating and cash assumptions. Its repeated Q3 issuer facts share the already-reviewed source group. The 30% probability governs one complete outcome across prices, output, unit costs, FX and capital; component probabilities are evaluated jointly.

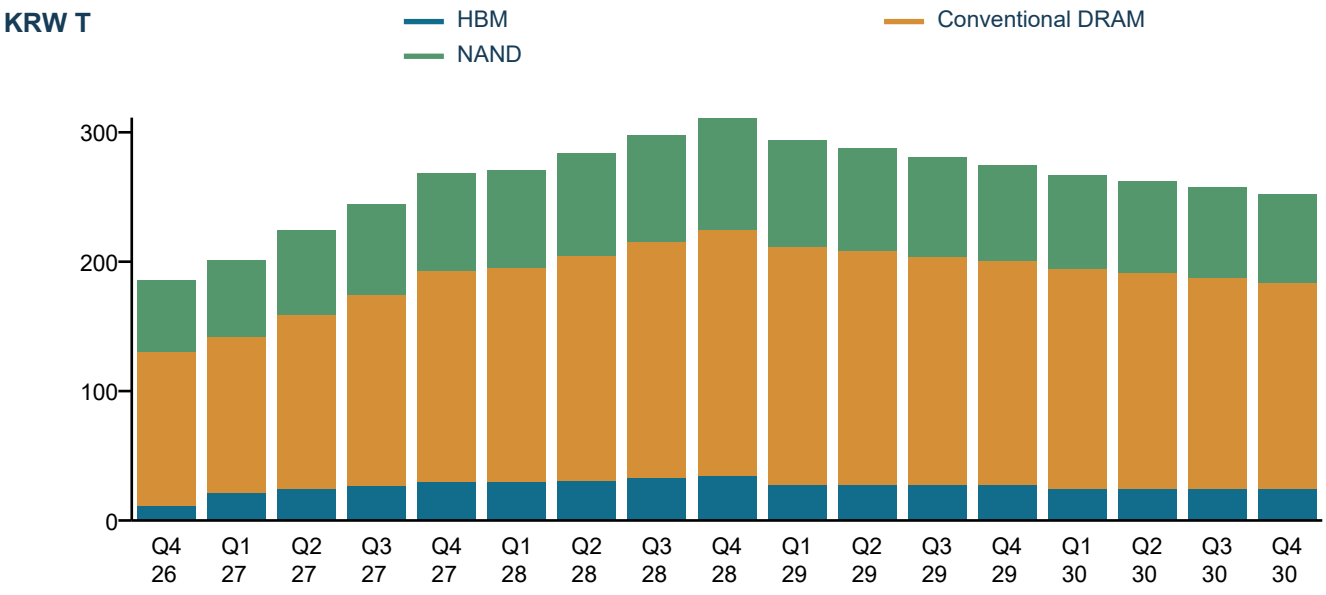
| Signal | Weight | Conditional economics and overlap | Trigger / timing |
|---|---|---|---|
| Total DRAM output, blended ASP and contract-ceiling realization | 30% | Normalize exact source quarterly shipment and USD ASP levels to Q3 levels4532M/14.97. Apply them to the current actual-allocated DRAM revenue. Retain HBM allocation and give conventional DRAM the remaining combined-DRAM sales. Source combined DRAM pricing already contains HBM mix and LTA effects. The separate positive LTA-price overlay is removed inside this branch. | Comparable-unit contract resets, accepted bits, capacity timing and actual realized prices. Q4 2026 through2028; incremental operating evidence halves in2029 and reaches zero in2030. |
| Higher NAND output with slower near-term price realization | 30% | Normalize source bits and USD ASP to Q3 levels11479M/2.66. Use exact quarterly levels through2027 and annual2028 levels, distributed by current output seasonality. The same joint30% source branch governs NAND, DRAM, costs, FX and capital. Active ASP equals weighted sales divided by weighted units. | Actual contract prices, bit output, inventories and supply additions. Q4 2026 through2028; incremental operating evidence halves in2029 and reaches zero in2030. |
| HBM output and the manufacturing-cost burden | 30% | Scale HBM output by1.62/1.57 within total DRAM. Retain the existing HBM pricing weight. Source unit-cost growth39%HBM,5%commodity DRAM and10%NAND uses an explicit Q3 all-in cost proxy and USD-to-KRW translation. The conditional HBM all-in cost replaces the separate manufacturing-stress increment. Source119%pricing sits inside the existing121%conditional hypothesis and receives no second price premium. | Confirm cost units, stack/base-die mix, yield, accepted output and qualified costs. Q4 2026 through2028; incremental operating evidence halves in2029 and reaches zero in2030. |
| Stronger KRW translation | 30% | Source1340/1330/1320/1310/1300 FX levels use actual Q3 comparator1430. Its USD unit-cost path is translated into KRW once. Replace the old currency bridge within the conditional state. Already translated all-in unit costs receive no additional FX-cost adjustment. | Actual FX and matched customer/supplier invoicing exposure. Q4 2026 through2028; incremental operating evidence halves in2029 and reaches zero in2030. |
| P4/P5 investment and cash-to-in-service conversion | 30% | Gross PPE105T/142T plus intangibles4.7T/4.9T. PPE follows existing quarterly investment weights; intangibles are spread quarterly. PPE in-service lag2quarters/life5years and intangible lag1quarter/life3years are explicit proxies. Capex adds no second sales vector. Depreciation is a noncash component within the selected all-in operating costs; the CFO addback occurs once. Other-investing proceeds receive zero FCF or payout credit. | Cash investment statements, installed equipment, accepted output and depreciation classifications. Q4 2026 through2028; incremental operating evidence halves in2029 and reaches zero in2030. |
| FY2028 printed FCF discrepancy | 0% | 801.962T CFO minus146.002T net investment equals655.960T. Page2prints CFO as FCF alongside a blank capex entry. Zero direct funding credit. The blank cell supplies no zero-investment assumption; other investment0.9T is excluded from recurring owner FCF. | Corrected source cash-flow table or issuer recurring-cash reconciliation. Q4 2026 through2028; incremental operating evidence halves in2029 and reaches zero in2030. |
| Book tax17%/18% and cash-paid tax | 0% | 17%times682.980T=116.1066T and18%times827.454T=148.94172T reconcile broker book tax. Complete cash-rate17%/18%sensitivities are saved. No unverified paid-tax savings enter the active cash law. Book tax applies to pretax income and its liability/payment timing is unresolved. | Issuer paid-tax and tax-liability roll-forwards. Q4 2026 through2028; incremental operating evidence halves in2029 and reaches zero in2030. |

| Signal | Weight | Conditional economics and overlap | Trigger / timing |
|---|---|---|---|
| Broad operating-liability financing | 0% | FY27 EBITDA725.725+WC47.913−other operating110.990=CFO662.648. FY28:882.317+50.831−131.185=801.963 versus printed801.962T. Source broad-liability cash contributions remain separate from recurring deposits, compensation timing and owner distributable FCF. The current limited NWC law recalculates with revenue. | Complete operating-liability, customer-deposit, compensation and paid-tax cash bridges. Q4 2026 through2028; incremental operating evidence halves in2029 and reaches zero in2030. |
| Programme remainder, mix and preferred cancellation | 0% | Broker30T earmarked plus60–80T remaining describes the same90–110T programme using a different earmarked scope. Its earlier90Tdividend/20Tbuyback scenario is separate from paid cash. One65T catch-up cohort remains selected. The current common-share retirement convention and50%positive-FCF owner policy remain. Broker preference for preferred cancellation supplies no additional programme budget. | January2027board terms and class-specific execution/cancellation notices. Q4 2026 through2028; incremental operating evidence halves in2029 and reaches zero in2030. |

## Annual operating-profit attribution to the same joint outcome

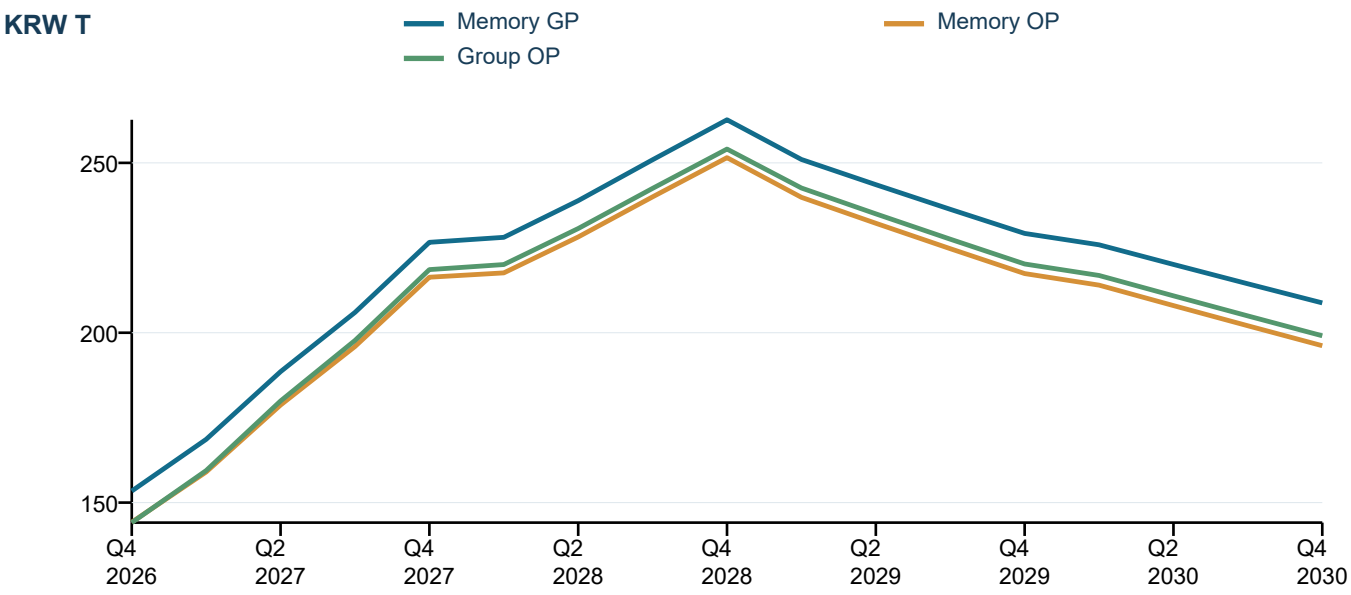
| Year | DRAM sales | NAND sales | LTA overlap | FX sales | COGS change | Opex change | OP change |
|---|---|---|---|---|---|---|---|
| 2027 | -1.706098 | -1.961646 | -1.069151 | -20.672662 | 4.716834 | 0.010951 | -30.137342 |
| 2028 | -4.760728 | -3.374963 | -0.676771 | -28.775929 | 11.059724 | 0.013689 | -48.661804 |
| 2029 | -2.068672 | -1.296728 | 0.000000 | -14.214365 | 6.610977 | 0.003345 | -24.194086 |
| 2030 | 0.000000 | 0.000000 | 0.000000 | 0.000000 | 0.000000 | 0.000000 | 0.000000 |

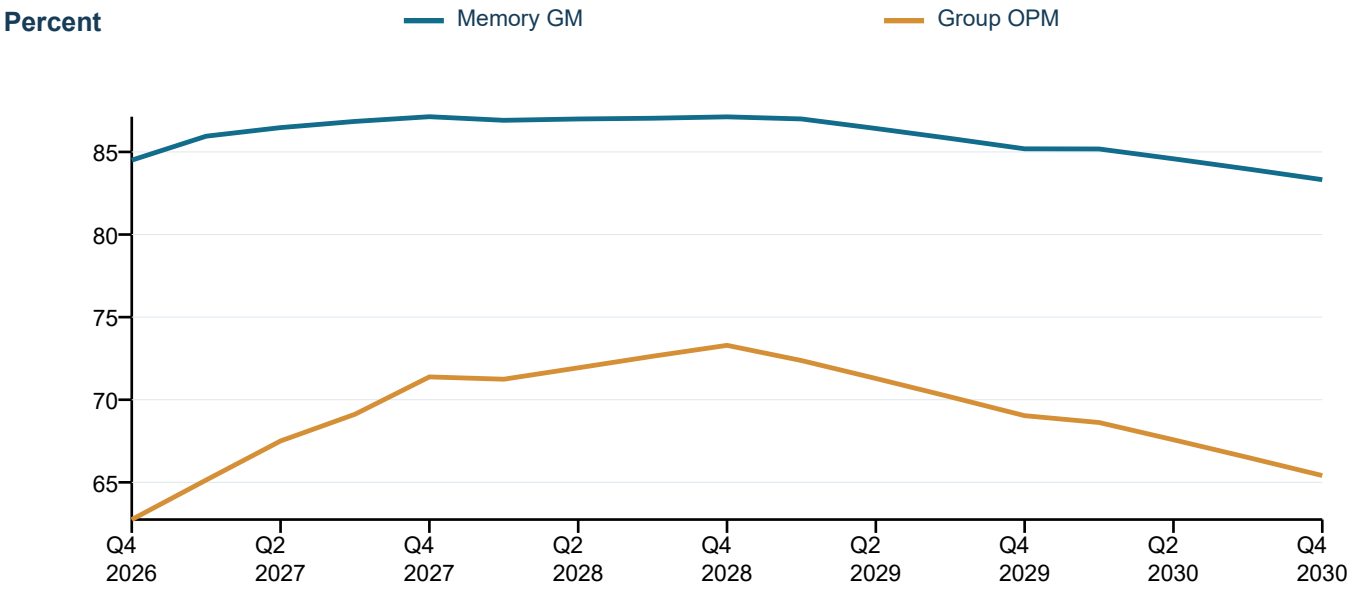
Positive manufacturing-cost and support-opex changes reduce operating profit. Price, mix and FX contributions use the same source branch, and the retained HBM, device-BOM and architecture assumptions remain visible in their respective sections.




Model figure M1. Memory product revenue before the currency bridge. Numerical table follows; all values use the model.

| Model figure M1 data: Memory product revenue before the currency bridge | | | | | |
|---|---|---|---|---|---|
| Quarter | HBM | Conv.DRAM | NAND | FX bridge | Memory total |
| Q4 2026 | 11.186 | 119.154 | 55.602 | -4.397 | 181.544 |
| Q1 2027 | 21.623 | 120.478 | 59.217 | -5.141 | 196.177 |
| Q2 2027 | 24.712 | 134.430 | 65.105 | -6.204 | 218.043 |
| Q3 2027 | 26.771 | 147.597 | 70.118 | -7.307 | 237.180 |
| Q4 2027 | 29.861 | 162.998 | 75.665 | -8.439 | 260.084 |
| Q1 2028 | 29.603 | 166.050 | 75.340 | -8.568 | 262.425 |
| Q2 2028 | 30.890 | 173.813 | 78.854 | -8.966 | 274.590 |
| Q3 2028 | 33.464 | 181.684 | 82.531 | -9.399 | 288.281 |
| Q4 2028 | 34.751 | 190.214 | 86.380 | -9.834 | 301.511 |
| Q1 2029 | 27.786 | 183.971 | 82.483 | -5.720 | 288.521 |
| Q2 2029 | 27.786 | 180.176 | 79.489 | -5.587 | 281.864 |
| Q3 2029 | 27.786 | 176.459 | 76.603 | -5.459 | 275.390 |
| Q4 2029 | 27.786 | 172.818 | 73.822 | -5.333 | 269.093 |
| Q1 2030 | 24.346 | 170.111 | 72.599 | -1.869 | 265.187 |
| Q2 2030 | 24.346 | 166.602 | 71.102 | -1.834 | 260.215 |
| Q3 2030 | 24.346 | 163.165 | 69.635 | -1.800 | 255.346 |
| Q4 2030 | 24.346 | 159.799 | 68.198 | -1.766 | 250.577 |

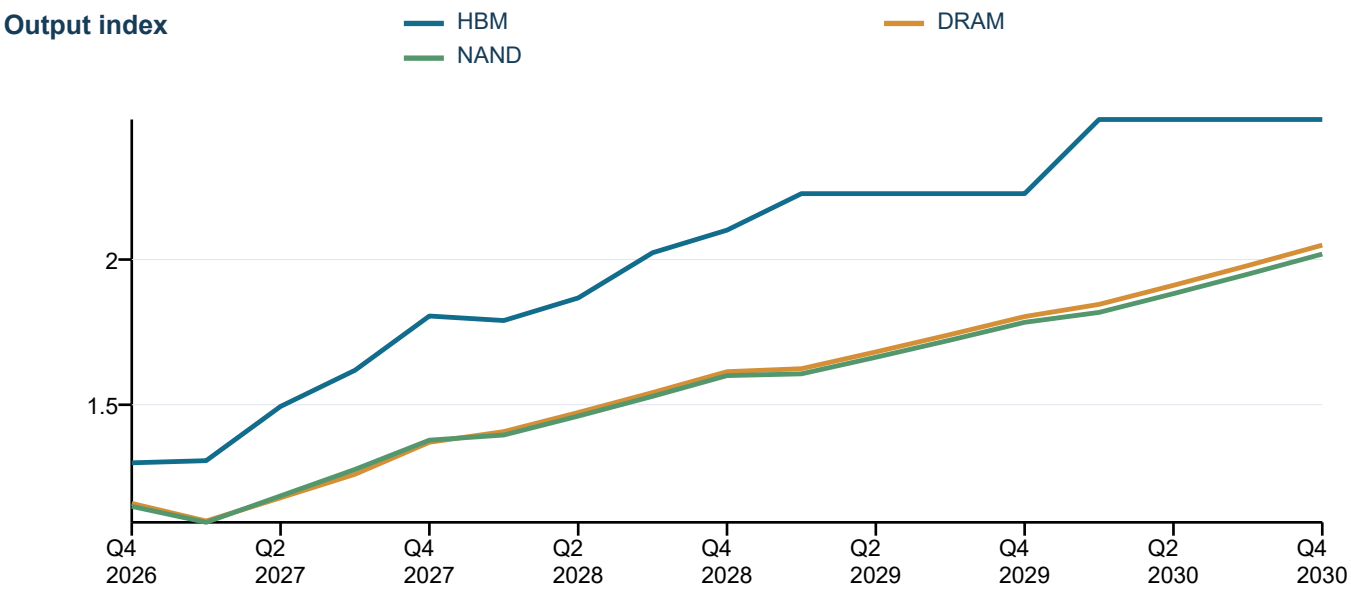


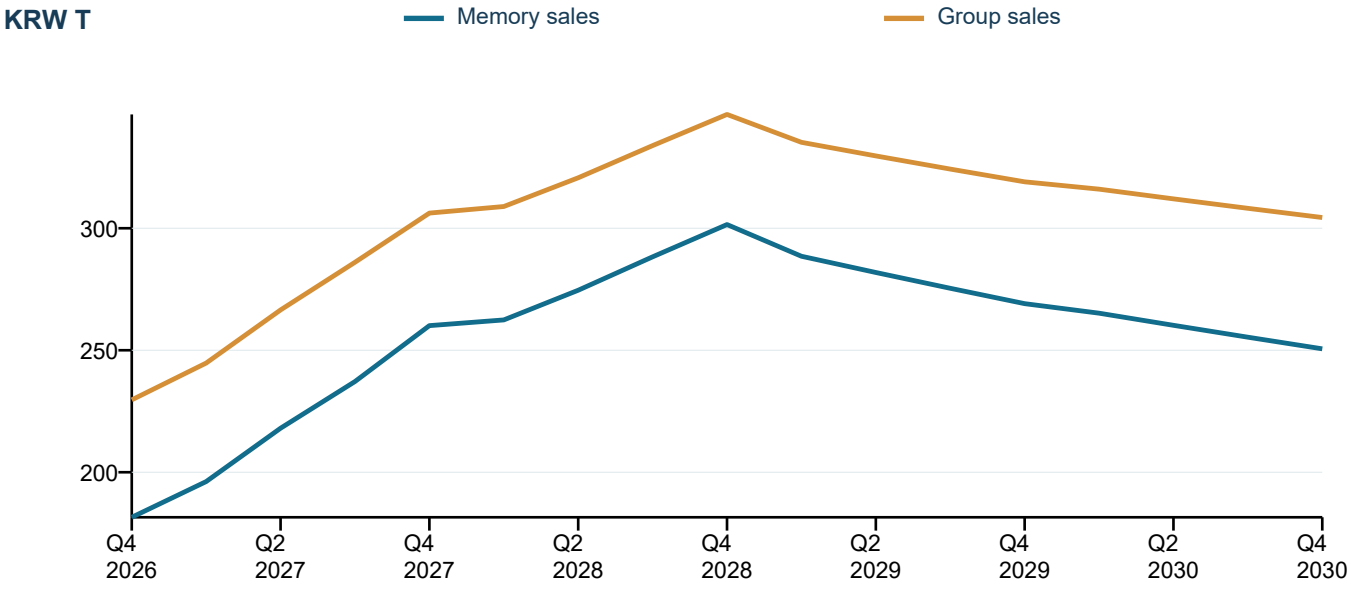




Model figure M2. Memory gross profit, operating expenses and group profit. Numerical table follows; all values use the model.

| Model figure M2 data: Memory gross profit, operating expenses and group profit | | | | | | |
|---|---|---|---|---|---|---|
| Quarter | Memory GP | Memory GM | Memory opex | Memory OP | Group OP | Group OPM |
| Q4 2026 | 153.407 | 84.50% | 9.180 | 144.227 | 144.108 | 62.75% |
| Q1 2027 | 168.618 | 85.95% | 9.607 | 159.011 | 159.430 | 65.14% |
| Q2 2027 | 188.546 | 86.47% | 9.829 | 178.718 | 179.913 | 67.50% |
| Q3 2027 | 205.983 | 86.85% | 10.043 | 195.941 | 197.725 | 69.12% |
| Q4 2027 | 226.614 | 87.13% | 10.272 | 216.342 | 218.581 | 71.38% |
| Q1 2028 | 228.082 | 86.91% | 10.468 | 217.614 | 220.071 | 71.24% |
| Q2 2028 | 238.878 | 86.99% | 10.685 | 228.193 | 230.672 | 71.93% |
| Q3 2028 | 250.915 | 87.04% | 10.921 | 239.994 | 242.496 | 72.63% |
| Q4 2028 | 262.685 | 87.12% | 11.146 | 251.539 | 254.063 | 73.29% |

| Model figure M2 data: Memory gross profit, operating expenses and group profit | | | | | | |
|---|---|---|---|---|---|---|
| Quarter | Memory GP | Memory GM | Memory opex | Memory OP | Group OP | Group OPM |
| Q1 2029 | 251.001 | 87.00% | 11.147 | 239.854 | 242.602 | 72.37% |
| Q2 2029 | 243.584 | 86.42% | 11.366 | 232.218 | 234.990 | 71.29% |
| Q3 2029 | 236.331 | 85.82% | 11.590 | 224.741 | 227.538 | 70.17% |
| Q4 2029 | 229.235 | 85.19% | 11.818 | 217.416 | 220.238 | 69.04% |
| Q1 2030 | 225.883 | 85.18% | 11.875 | 214.008 | 216.855 | 68.62% |
| Q2 2030 | 220.102 | 84.58% | 12.113 | 207.989 | 210.862 | 67.58% |
| Q3 2030 | 214.401 | 83.97% | 12.355 | 202.046 | 204.946 | 66.51% |
| Q4 2030 | 208.780 | 83.32% | 12.602 | 196.178 | 199.103 | 65.41% |




Model figure M3. Saleable-output indices; Q3 source calibration=1. Numerical table follows; all values use the model.

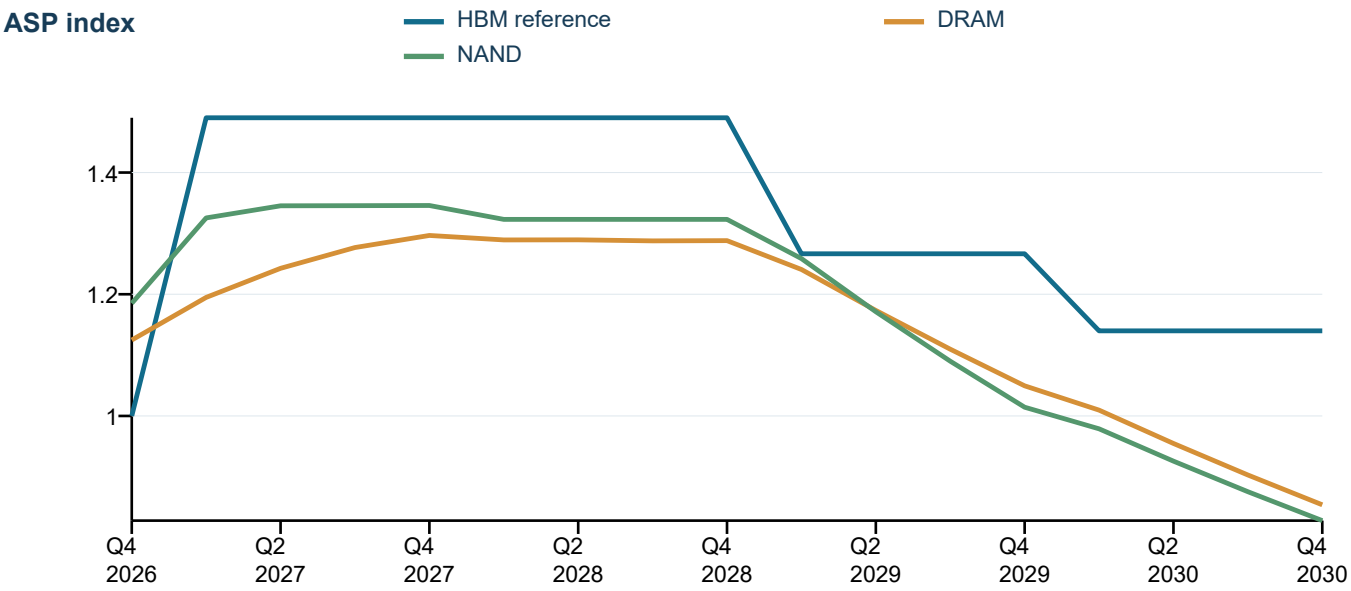
| Model figure M3 data: Saleable-output indices; Q3 source calibration=1 | | | |
|---|---|---|---|
| Quarter | HBM output | DRAM output | NAND output |
| Q4 2026 | 1.3000 | 1.1603 | 1.1500 |
| Q1 2027 | 1.3074 | 1.0996 | 1.0951 |
| Q2 2027 | 1.4942 | 1.1797 | 1.1862 |
| Q3 2027 | 1.6187 | 1.2607 | 1.2773 |
| Q4 2027 | 1.8055 | 1.3708 | 1.3781 |
| Q1 2028 | 1.7900 | 1.4076 | 1.3958 |
| Q2 2028 | 1.8678 | 1.4732 | 1.4609 |
| Q3 2028 | 2.0234 | 1.5420 | 1.5290 |
| Q4 2028 | 2.1013 | 1.6139 | 1.6003 |
| Q1 2029 | 2.2269 | 1.6241 | 1.6064 |
| Q2 2029 | 2.2269 | 1.6819 | 1.6635 |
| Q3 2029 | 2.2269 | 1.7417 | 1.7226 |
| Q4 2029 | 2.2269 | 1.8036 | 1.7839 |
| Q1 2030 | 2.4822 | 1.8456 | 1.8180 |
| Q2 2030 | 2.4822 | 1.9112 | 1.8826 |
| Q3 2030 | 2.4822 | 1.9792 | 1.9496 |
| Q4 2030 | 2.4822 | 2.0496 | 2.0189 |

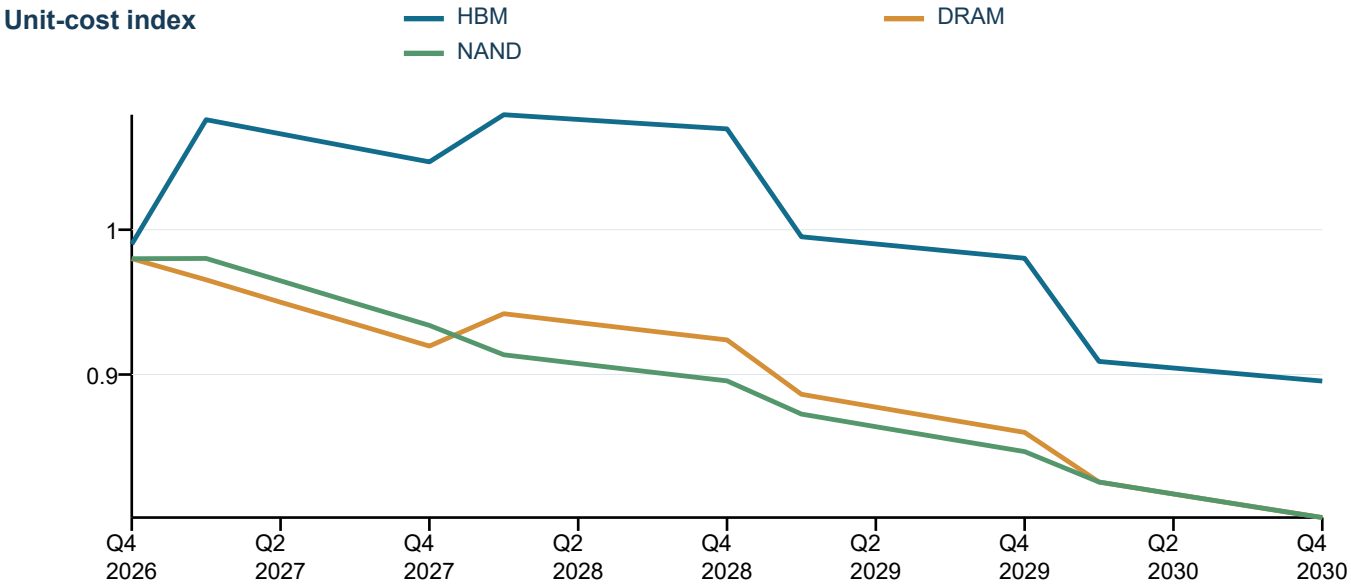
## Wafer-load and starts feasibility

The retained manufacturing proxies are a 4% HBM physical-bit share, four times the wafer load per HBM bit and 18% effective productivity. Wafer load equals combined DRAM units plus 0.04 times (4 - 1) times HBM units. Required starts factor equals the annual wafer-load ratio divided by 1.18. Annual denominators use the complete calendar-year accepted-output sums shown earlier.

| Year | Wafer load | Load YoY | Productivity | Starts YoY | Starts at 10% productivity |
|---|---|---|---|---|---|
| 2027 | 5.710518 | 27.8624% | 18.0% | 8.3579% | 16.2385% |
| 2028 | 7.040348 | 23.2874% | 18.0% | 4.4808% | 12.0794% |
| 2029 | 8.002468 | 13.6658% | 18.0% | -3.6730% | 3.3326% |
| 2030 | 9.062837 | 13.2505% | 18.0% | -4.0250% | 2.9550% |

These calculations supply a feasibility dependency. Absolute wafer counts, actual node productivity and usable capacity are undisclosed. P4 equipment move-in in early 2027 and P5 in late 2027 are broker timing assumptions. Qualification, equipment installation, yield and product mix control accepted output. The capital schedule adds zero separate revenue beyond the selected product-volume path.




Model figure M4. Separate ASP and unit-manufacturing-cost indices. Numerical table follows; all values use the model.

**Model figure M4 data: Separate ASP and unit-manufacturing-cost indices**

| Quarter | HBM ASP | DRAM ASP | NAND ASP | HBM cost | DRAM cost | NAND cost |
|---|---|---|---|---|---|---|
| Q4 2026 | 1.0000 | 1.1248 | 1.1851 | 0.9900 | 0.9800 | 0.9800 |
| Q1 2027 | 1.4900 | 1.1948 | 1.3254 | 1.0760 | 0.9654 | 0.9801 |
| Q2 2027 | 1.4900 | 1.2426 | 1.3453 | 1.0662 | 0.9499 | 0.9647 |
| Q3 2027 | 1.4900 | 1.2767 | 1.3456 | 1.0565 | 0.9349 | 0.9492 |
| Q4 2027 | 1.4900 | 1.2966 | 1.3458 | 1.0469 | 0.9196 | 0.9339 |
| Q1 2028 | 1.4900 | 1.2893 | 1.3230 | 1.0794 | 0.9420 | 0.9136 |
| Q2 2028 | 1.4900 | 1.2894 | 1.3230 | 1.0761 | 0.9359 | 0.9076 |
| Q3 2028 | 1.4900 | 1.2877 | 1.3230 | 1.0729 | 0.9299 | 0.9016 |
| Q4 2028 | 1.4900 | 1.2881 | 1.3230 | 1.0696 | 0.9239 | 0.8956 |

| Model figure M4 data: Separate ASP and unit-manufacturing-cost indices | | | | | | |
|---|---|---|---|---|---|---|
| Quarter | HBM ASP | DRAM ASP | NAND ASP | HBM cost | DRAM cost | NAND cost |
| Q1 2029 | 1.2665 | 1.2407 | 1.2586 | 0.9951 | 0.8864 | 0.8727 |
| Q2 2029 | 1.2665 | 1.1734 | 1.1713 | 0.9902 | 0.8775 | 0.8640 |
| Q3 2029 | 1.2665 | 1.1097 | 1.0900 | 0.9852 | 0.8687 | 0.8553 |
| Q4 2029 | 1.2665 | 1.0495 | 1.0144 | 0.9803 | 0.8600 | 0.8468 |
| Q1 2030 | 1.1398 | 1.0096 | 0.9788 | 0.9090 | 0.8257 | 0.8257 |
| Q2 2030 | 1.1398 | 0.9548 | 0.9257 | 0.9045 | 0.8175 | 0.8175 |
| Q3 2030 | 1.1398 | 0.9030 | 0.8755 | 0.9000 | 0.8093 | 0.8093 |
| Q4 2030 | 1.1398 | 0.8540 | 0.8280 | 0.8955 | 0.8012 | 0.8012 |

## Incremental profit transmission

| Quarter | HBM sales+ | HBM COGS+ | HBM opex+ | LTA sales+ | LTA cost+ | DX BOM cost+ |
|---|---|---|---|---|---|---|
| Q4 2026 | 0.000 | 0.000 | 0.000 | 0.000 | 0.000 | 0.369 |
| Q1 2027 | 4.860 | 0.281 | 0.243 | 0.528 | 0.095 | 0.384 |
| Q2 2027 | 5.554 | 0.318 | 0.278 | 0.593 | 0.107 | 0.392 |
| Q3 2027 | 6.017 | 0.341 | 0.301 | 0.648 | 0.117 | 0.399 |
| Q4 2027 | 6.712 | 0.377 | 0.336 | 0.725 | 0.131 | 0.392 |
| Q1 2028 | 6.654 | 0.372 | 0.333 | 0.368 | 0.066 | 0.197 |
| Q2 2028 | 6.943 | 0.386 | 0.347 | 0.385 | 0.069 | 0.198 |
| Q3 2028 | 7.522 | 0.416 | 0.376 | 0.403 | 0.073 | 0.199 |
| Q4 2028 | 7.811 | 0.430 | 0.391 | 0.422 | 0.076 | 0.200 |
| Q1 2029 | 3.518 | 0.277 | 0.176 | 0.000 | 0.000 | 0.000 |
| Q2 2029 | 3.518 | 0.275 | 0.176 | 0.000 | 0.000 | 0.000 |
| Q3 2029 | 3.518 | 0.274 | 0.176 | 0.000 | 0.000 | 0.000 |
| Q4 2029 | 3.518 | 0.273 | 0.176 | 0.000 | 0.000 | 0.000 |
| Q1 2030 | 0.000 | 0.000 | 0.000 | 0.000 | 0.000 | 0.000 |
| Q2 2030 | 0.000 | 0.000 | 0.000 | 0.000 | 0.000 | 0.000 |
| Q3 2030 | 0.000 | 0.000 | 0.000 | 0.000 | 0.000 | 0.000 |
| Q4 2030 | 0.000 | 0.000 | 0.000 | 0.000 | 0.000 | 0.000 |

## Consolidation and operating-profit derivations

| Quarter | Memory rev | Other DS rev | DX rev | SDC/Harman | Eliminations | Group rev |
|---|---|---|---|---|---|---|
| Q4 2026 | 181.544 | 7.168 | 48.000 | 12.000 | 19.050 | 229.662 |
| Q1 2027 | 196.177 | 7.374 | 50.000 | 11.500 | 20.302 | 244.749 |

| Quarter | Memory rev | Other DS rev | DX rev | SDC/Harman | Eliminations | Group rev |
|---|---|---|---|---|---|---|
| Q2 2027 | 218.043 | 7.586 | 51.000 | 12.000 | 22.108 | 266.521 |
| Q3 2027 | 237.180 | 7.804 | 52.000 | 12.800 | 23.728 | 286.056 |
| Q4 2027 | 260.084 | 8.028 | 51.000 | 12.500 | 25.400 | 306.212 |
| Q1 2028 | 262.425 | 8.259 | 51.253 | 12.593 | 25.624 | 308.906 |
| Q2 2028 | 274.590 | 8.496 | 51.507 | 12.686 | 26.600 | 320.680 |
| Q3 2028 | 288.281 | 8.740 | 51.763 | 12.780 | 27.694 | 333.870 |
| Q4 2028 | 301.511 | 8.992 | 52.020 | 12.875 | 28.754 | 346.644 |
| Q1 2029 | 288.521 | 9.250 | 52.278 | 12.970 | 27.806 | 335.214 |
| Q2 2029 | 281.864 | 9.516 | 52.538 | 13.067 | 27.343 | 329.640 |
| Q3 2029 | 275.390 | 9.789 | 52.798 | 13.164 | 26.896 | 324.245 |
| Q4 2029 | 269.093 | 10.071 | 53.060 | 13.261 | 26.463 | 319.023 |
| Q1 2030 | 265.187 | 10.360 | 53.324 | 13.360 | 26.213 | 316.017 |
| Q2 2030 | 260.215 | 10.658 | 53.588 | 13.459 | 25.883 | 312.037 |
| Q3 2030 | 255.346 | 10.964 | 53.854 | 13.559 | 25.562 | 308.161 |
| Q4 2030 | 250.577 | 11.279 | 54.122 | 13.659 | 25.249 | 304.388 |

| Quarter | Group rev | OPM | OP=rev×OPM |
|---|---|---|---|
| Q4 2026 | 229.661922 | 62.747758% | 144.107708 |
| Q1 2027 | 244.749153 | 65.140098% | 159.429838 |
| Q2 2027 | 266.521287 | 67.504328% | 179.913405 |
| Q3 2027 | 286.055579 | 69.121313% | 197.725373 |
| Q4 2027 | 306.211855 | 71.382253% | 218.580922 |
| Q1 2028 | 308.906149 | 71.242051% | 220.071077 |
| Q2 2028 | 320.679916 | 71.932138% | 230.671920 |
| Q3 2028 | 333.870011 | 72.631769% | 242.495697 |
| Q4 2028 | 346.643822 | 73.292266% | 254.063113 |
| Q1 2029 | 335.213993 | 72.372262% | 242.601949 |
| Q2 2029 | 329.640325 | 71.286835% | 234.990155 |
| Q3 2029 | 324.244881 | 70.174620% | 227.537613 |
| Q4 2029 | 319.022837 | 69.035273% | 220.238287 |
| Q1 2030 | 316.017268 | 68.621266% | 216.855051 |
| Q2 2030 | 312.036900 | 67.575945% | 210.861885 |
| Q3 2030 | 308.161038 | 66.506008% | 204.945604 |
| Q4 2030 | 304.387966 | 65.411086% | 199.103474 |

## Annual trajectory cross-check

| Year | Revenue | OP | OPM | FCF |
|---|---|---|---|---|
| 2027 | 1,103.538 | 755.650 | 68.48% | 476.480 |
| 2028 | 1,310.100 | 947.302 | 72.31% | 641.138 |
| 2029 | 1,308.122 | 925.368 | 70.74% | 681.594 |
| 2030 | 1,240.603 | 831.766 | 67.05% | 602.144 |

## Manufacturing-cost chain for every forecast quarter

All amounts are KRW T. Reference product COGS follows accepted output and unit manufacturing costs. Weighted HBM yield/packaging cost, LTA manufacturing cost and the currency COGS bridge then reconcile to total Memory COGS.

| Quarter | HBM ref.COGS | DRAM ref.COGS | NAND ref.COGS | HBM extra cost | LTA extra cost | FX COGS | Memory COGS |
|---|---|---|---|---|---|---|---|
| Q4 2026 | 3.429844 | 16.076835 | 8.900007 | 0.000000 | 0.000000 | -0.269298 | 28.137388 |
| Q1 2027 | 3.749081 | 15.008417 | 8.476525 | 0.281383 | 0.095067 | -0.051421 | 27.559052 |
| Q2 2027 | 4.245734 | 15.843834 | 9.036773 | 0.318365 | 0.106808 | -0.054625 | 29.496889 |
| Q3 2027 | 4.557665 | 16.662902 | 9.575008 | 0.341446 | 0.116613 | -0.057328 | 31.196306 |
| Q4 2027 | 5.037159 | 17.822893 | 10.163687 | 0.377035 | 0.130555 | -0.061638 | 33.469691 |
| Q1 2028 | 5.149099 | 18.746022 | 10.070755 | 0.371916 | 0.066279 | -0.061484 | 34.342586 |
| Q2 2028 | 5.356643 | 19.493128 | 10.470397 | 0.386146 | 0.069370 | -0.063726 | 35.711959 |
| Q3 2028 | 5.785429 | 20.271222 | 10.886145 | 0.416233 | 0.072605 | -0.066411 | 37.365223 |
| Q4 2028 | 5.989759 | 21.079991 | 11.318657 | 0.430081 | 0.075991 | -0.068784 | 38.825693 |
| Q1 2029 | 5.905680 | 20.352324 | 11.070469 | 0.276655 | 0.000000 | -0.084933 | 37.520194 |
| Q2 2029 | 5.876152 | 20.865253 | 11.349473 | 0.275271 | 0.000000 | -0.086680 | 38.279469 |
| Q3 2029 | 5.846771 | 21.391109 | 11.635508 | 0.273895 | 0.000000 | -0.088473 | 39.058810 |
| Q4 2029 | 5.817537 | 21.930219 | 11.928751 | 0.272526 | 0.000000 | -0.090313 | 39.858720 |
| Q1 2030 | 6.013414 | 21.546411 | 11.854993 | 0.000000 | 0.000000 | -0.110361 | 39.304456 |
| Q2 2030 | 5.983347 | 22.089434 | 12.153768 | 0.000000 | 0.000000 | -0.112634 | 40.113915 |
| Q3 2030 | 5.953430 | 22.646143 | 12.460074 | 0.000000 | 0.000000 | -0.114967 | 40.944679 |
| Q4 2030 | 5.923663 | 23.216882 | 12.774099 | 0.000000 | 0.000000 | -0.117361 | 41.797282 |

## Product gross-profit chain and currency reconciliation

HBM GP =(reference HBM sales+weighted HBM sales increment)-reference HBM COGS-weighted HBM manufacturing increment. Conventional DRAM GP =(reference DRAM sales+LTA sales increment)-reference DRAM COGS-LTA manufacturing cost. NAND GP =reference NAND sales-NAND COGS. Product GP sums plus FX revenue less FX COGS reconcile to Memory GP.

| Quarter | HBM GP | Conv.DRAM GP | NAND GP | FX revenue | FX COGS | Memory GP |
|---|---|---|---|---|---|---|
| Q4 2026 | 7.756393 | 103.076676 | 46.701778 | -4.397313 | -0.269298 | 153.406832 |
| Q1 2027 | 17.592670 | 105.374028 | 50.740600 | -5.140834 | -0.051421 | 168.617885 |
| Q2 2027 | 20.148055 | 118.479620 | 56.067955 | -6.203998 | -0.054625 | 188.546256 |
| Q3 2027 | 21.872389 | 130.817572 | 60.542841 | -7.306641 | -0.057328 | 205.983489 |
| Q4 2027 | 24.446324 | 145.044144 | 65.500907 | -8.438948 | -0.061638 | 226.614066 |
| Q1 2028 | 24.082086 | 147.237314 | 65.269284 | -8.567743 | -0.061484 | 228.082424 |
| Q2 2028 | 25.147403 | 154.250176 | 68.383135 | -8.966100 | -0.063726 | 238.878339 |
| Q3 2028 | 27.262713 | 161.340346 | 71.644733 | -9.398803 | -0.066411 | 250.915399 |
| Q4 2028 | 28.331626 | 169.057586 | 75.061060 | -9.833602 | -0.068784 | 262.685454 |
| Q1 2029 | 21.604040 | 163.618565 | 71.412939 | -5.719508 | -0.084933 | 251.000969 |
| Q2 2029 | 21.634951 | 159.310382 | 68.139407 | -5.587200 | -0.086680 | 243.584221 |
| Q3 2029 | 21.665708 | 155.067568 | 64.967558 | -5.458535 | -0.088473 | 236.330771 |
| Q4 2029 | 21.696312 | 150.888180 | 61.893269 | -5.333406 | -0.090313 | 229.234666 |
| Q1 2030 | 18.332717 | 148.565066 | 60.744211 | -1.869398 | -0.110361 | 225.882957 |
| Q2 2030 | 18.362784 | 144.512704 | 58.947741 | -1.834348 | -0.112634 | 220.101514 |
| Q3 2030 | 18.392700 | 140.519053 | 57.174637 | -1.800022 | -0.114967 | 214.401335 |
| Q4 2030 | 18.422468 | 136.582275 | 55.424073 | -1.766404 | -0.117361 | 208.779772 |

## Product gross margins before the currency bridge

These product gross margins are split-model proxies. Each equals the product GP above divided by that product's reference-plus-weighted incremental sales. Common Memory opex remains in the divisional bridge.

| Quarter | HBM GM | Conv.DRAM GM | NAND GM |
|---|---|---|---|
| Q4 2026 | 69.3387% | 86.5075% | 83.9933% |
| Q1 2027 | 81.3604% | 87.4636% | 85.6857% |
| Q2 2027 | 81.5310% | 88.1346% | 86.1196% |
| Q3 2027 | 81.7003% | 88.6315% | 86.3444% |
| Q4 2027 | 81.8684% | 88.9855% | 86.5674% |
| Q1 2028 | 81.3499% | 88.6707% | 86.6329% |
| Q2 2028 | 81.4090% | 88.7451% | 86.7217% |
| Q3 2028 | 81.4679% | 88.8026% | 86.8096% |
| Q4 2028 | 81.5264% | 88.8778% | 86.8966% |
| Q1 2029 | 77.7505% | 88.9372% | 86.5786% |
| Q2 2029 | 77.8617% | 88.4195% | 85.7219% |
| Q3 2029 | 77.9724% | 87.8776% | 84.8107% |

| Quarter | HBM GM | Conv.DRAM GM | NAND GM |
|---|---|---|---|
| Q4 2029 | 78.0826% | 87.3103% | 83.8412% |
| Q1 2030 | 75.3003% | 87.3339% | 83.6706% |
| Q2 2030 | 75.4238% | 86.7412% | 82.9065% |
| Q3 2030 | 75.5467% | 86.1207% | 82.1065% |
| Q4 2030 | 75.6690% | 85.4712% | 81.2691% |

## Memory gross profit to operating profit

| Quarter | Memory GP | Memory opex | Memory OP |
|---|---|---|---|
| Q4 2026 | 153.406832 | 9.180000 | 144.226832 |
| Q1 2027 | 168.617885 | 9.606607 | 159.011277 |
| Q2 2027 | 188.546256 | 9.828594 | 178.717662 |
| Q3 2027 | 205.983489 | 10.042755 | 195.940733 |
| Q4 2027 | 226.614066 | 10.272309 | 216.341757 |
| Q1 2028 | 228.082424 | 10.468150 | 217.614273 |
| Q2 2028 | 238.878339 | 10.685324 | 228.193015 |
| Q3 2028 | 250.915399 | 10.921017 | 239.994382 |
| Q4 2028 | 262.685454 | 11.146380 | 251.539074 |
| Q1 2029 | 251.000969 | 11.146854 | 239.854115 |
| Q2 2029 | 243.584221 | 11.366273 | 232.217948 |
| Q3 2029 | 236.330771 | 11.590081 | 224.740691 |
| Q4 2029 | 229.234666 | 11.818364 | 217.416302 |
| Q1 2030 | 225.882957 | 11.875309 | 214.007648 |
| Q2 2030 | 220.101514 | 12.112815 | 207.988699 |
| Q3 2030 | 214.401335 | 12.355071 | 202.046264 |
| Q4 2030 | 208.779772 | 12.602173 | 196.177599 |

## Non-memory contribution and consolidated operating profit

Memory OP +System LSI/Foundry OP +DX OP +SDC/Harman OP =group OP. Non-memory product recovery, device component costs and normalized other-business margins stay visible in each quarter.

| Quarter | Memory OP | Other DS OP | DX OP | SDC/Harman OP | Group OP |
|---|---|---|---|---|---|
| Q4 2026 | 144.226832 | -0.573440 | -1.105684 | 1.560000 | 144.107708 |
| Q1 2027 | 159.011277 | -0.442439 | -0.634000 | 1.495000 | 159.429838 |
| Q2 2027 | 178.717662 | -0.227577 | -0.136680 | 1.560000 | 179.913405 |
| Q3 2027 | 195.940733 | 0.000000 | 0.120640 | 1.664000 | 197.725373 |

| Quarter | Memory OP | Other DS OP | DX OP | SDC/Harman OP | Group OP |
|---|---|---|---|---|---|
| Q4 2027 | 216.341757 | 0.240845 | 0.373320 | 1.625000 | 218.580922 |
| Q1 2028 | 217.614273 | 0.247766 | 0.571985 | 1.637053 | 220.071077 |
| Q2 2028 | 228.193015 | 0.254886 | 0.574823 | 1.649195 | 230.671920 |
| Q3 2028 | 239.994382 | 0.262211 | 0.577676 | 1.661427 | 242.495697 |
| Q4 2028 | 251.539074 | 0.269746 | 0.580543 | 1.673750 | 254.063113 |
| Q1 2029 | 239.854115 | 0.277498 | 0.784173 | 1.686164 | 242.601949 |
| Q2 2029 | 232.217948 | 0.285473 | 0.788064 | 1.698671 | 234.990155 |
| Q3 2029 | 224.740691 | 0.293676 | 0.791975 | 1.711270 | 227.537613 |
| Q4 2029 | 217.416302 | 0.302116 | 0.795906 | 1.723962 | 220.238287 |
| Q1 2030 | 214.007648 | 0.310798 | 0.799856 | 1.736749 | 216.855051 |
| Q2 2030 | 207.988699 | 0.319729 | 0.803826 | 1.749631 | 210.861885 |
| Q3 2030 | 202.046264 | 0.328917 | 0.807815 | 1.762608 | 204.945604 |
| Q4 2030 | 196.177599 | 0.338370 | 0.811824 | 1.775681 | 199.103474 |

# 10. Four-quarter operating-profit valuation

The owner-selected operating-profit curve is 3x in Q4 2026, 3.0875x in Q1 2027, 3.175x in Q2 2027, 3.2625x in Q3 2027 and 3.35x from Q4 2027 onward. The live ceiling applies this dated schedule to the forward-four-quarter consolidated operating-profit window.

The active Q4 2027 window covers Q4 2027 through Q3 2028. Its 911.819615029T operating profit times 3.35 times 1,000 divided by 6.370409452431B end-quarter economic shares gives KRW 479,497.55 per share. The current method retains combined common and preferred economic claims.

The complete operating forecast runs through Q4 2030. Four-quarter valuation windows are complete through Q1 2030; the final three target cells remain unavailable. The internal terminal-multiple assumption remains separate from those blank published outputs.

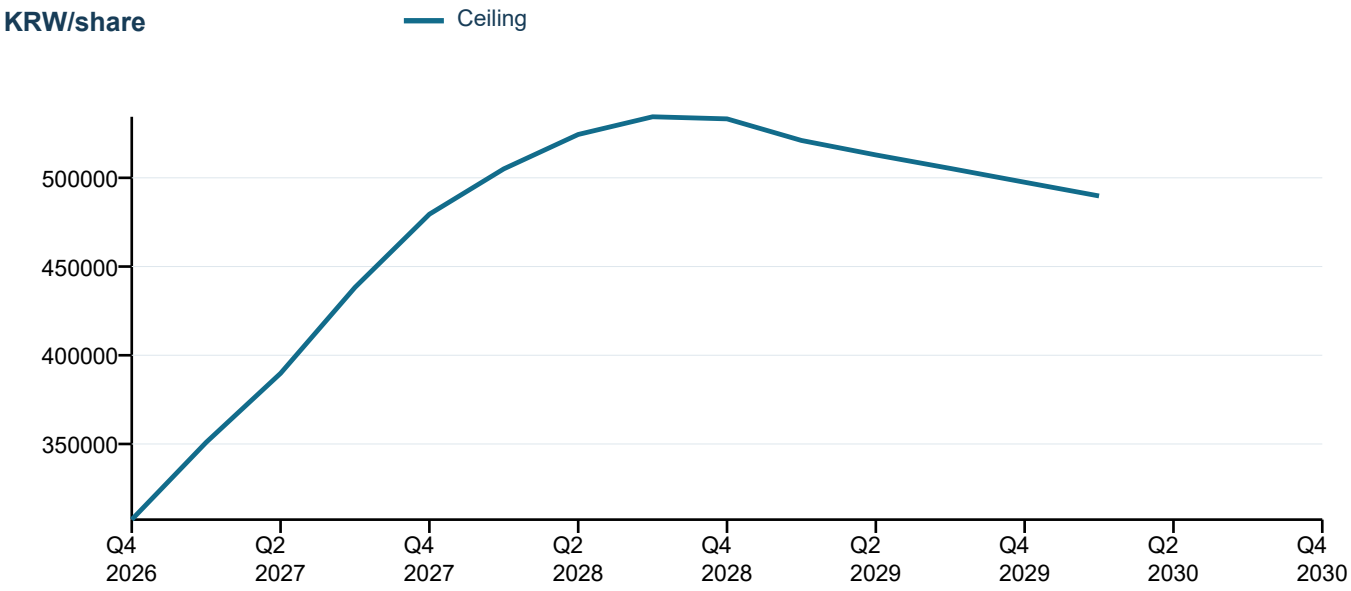
Published Q3 2026 and earlier forecast displays retain their original assumptions, formulas, zero/text/blank semantics and as-then rolling ceilings. The current Q3 actual-input bridge supports future modeling and is labeled separately. The historical roll-check formula may compare its frozen vintage with refreshed future OP and display CHECK; current-window checks validate the selected forecast.

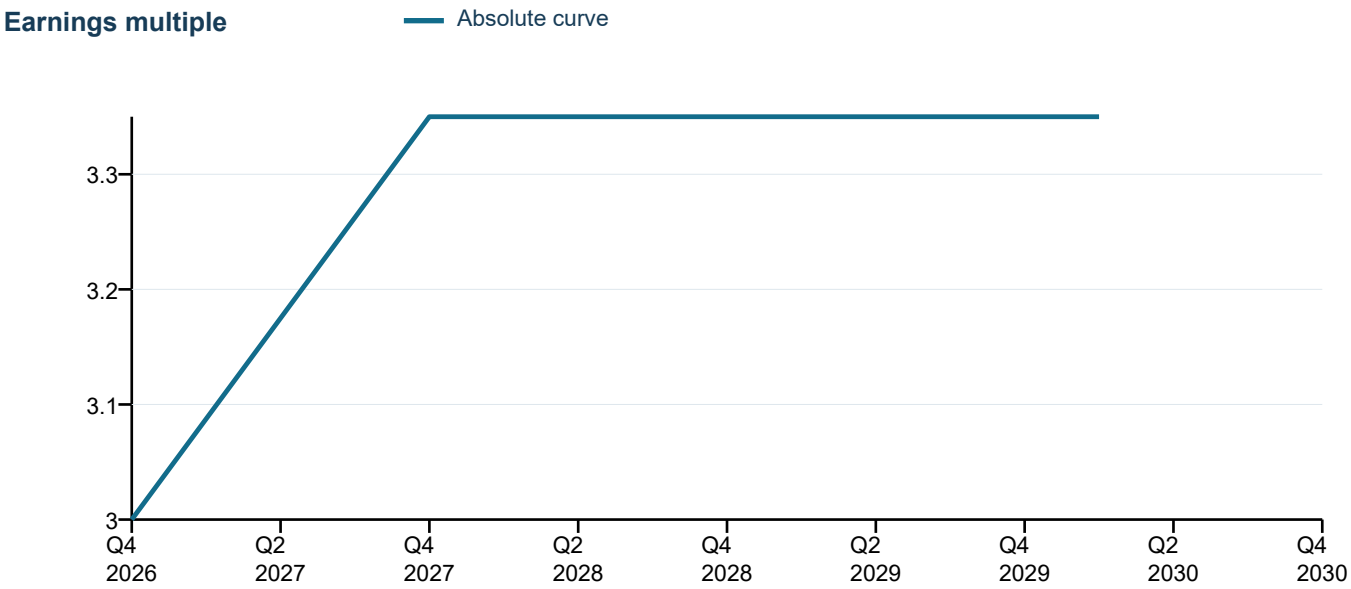
Buybacks affect economic shares through cash-funded purchase and retirement cohorts. Cash dividends have their own payment schedule. The price ceiling values the sanctioned operating-profit claim; the model keeps distribution income separate.

## Preserved historical forecast vintage

The following Q3 2026 display retains its published preliminary/estimate vintage and its as-then four-quarter ceiling. The separate latest Q3 reported-input bridge supports the current and future forecast.

| Published quarter | Group sales T | Group OP T | As-then F4 OP T | Multiple | Shares B | Frozen KRW ceiling |
|---|---|---|---|---|---|---|
| Q3 2026 | 195.000 | 107.400 | 529.534409 | 4.000 | 6.648649811 | 318,581.62 |




Model figure M5. Forward-four-quarter price ceiling and absolute multiple. Numerical table follows; all values use the model.

**Model figure M5 data: Forward-four-quarter price ceiling and absolute multiple**

| Quarter | F4 OP T | Multiple | Shares B | KRW ceiling |
|---|---|---|---|---|
| Q4 2026 | 681.176325 | 3.0000 | 6.648649811 | 307,360.00 |
| Q1 2027 | 755.649538 | 3.0875 | 6.648649811 | 350,908.53 |
| Q2 2027 | 816.290777 | 3.1750 | 6.648649811 | 389,811.96 |
| Q3 2027 | 867.049292 | 3.2625 | 6.454703814 | 438,246.03 |
| Q4 2027 | 911.819615 | 3.3500 | 6.370409452 | 479,497.55 |
| Q1 2028 | 947.301807 | 3.3500 | 6.283467131 | 505,049.36 |
| Q2 2028 | 969.832679 | 3.3500 | 6.195144790 | 524,433.18 |
| Q3 2028 | 974.150915 | 3.3500 | 6.106639475 | 534,402.85 |

| Model figure M5 data: Forward-four-quarter price ceiling and absolute multiple | | | | |
|---|---|---|---|---|
| Quarter | F4 OP T | Multiple | Shares B | KRW ceiling |
| Q4 2028 | 959.192831 | 3.3500 | 6.026100354 | 533,229.75 |
| Q1 2029 | 925.368004 | 3.3500 | 5.949364013 | 521,061.21 |
| Q2 2029 | 899.621106 | 3.3500 | 5.875825342 | 512,903.38 |
| Q3 2029 | 875.492835 | 3.3500 | 5.804308809 | 505,297.20 |
| Q4 2029 | 852.900827 | 3.3500 | 5.743033049 | 497,510.24 |
| Q1 2030 | 831.766015 | 3.3500 | 5.689169817 | 489,775.53 |
| Q2 2030 | | | 5.641843846 | |
| Q3 2030 | | | 5.599915462 | |
| Q4 2030 | | | 5.562692210 | |

## Every eligible ceiling and its exact earnings window

Q4 2026 uses Q4 2026, Q1 2027, Q2 2027, Q3 2027: 681.176324598T OP ×3.0000 ×1,000 ÷6.648649811B =307,360.00KRW per share.

Q1 2027 uses Q1 2027, Q2 2027, Q3 2027, Q4 2027: 755.649538393T OP ×3.0875 ×1,000 ÷6.648649811B =350,908.53KRW per share.

Q2 2027 uses Q2 2027, Q3 2027, Q4 2027, Q1 2028: 816.290777303T OP ×3.1750 ×1,000 ÷6.648649811B =389,811.96KRW per share.

Q3 2027 uses Q3 2027, Q4 2027, Q1 2028, Q2 2028: 867.049291959T OP ×3.2625 ×1,000 ÷6.454703814B =438,246.03KRW per share.

Q4 2027 uses Q4 2027, Q1 2028, Q2 2028, Q3 2028: 911.819615029T OP ×3.3500 ×1,000 ÷6.370409452B =479,497.55KRW per share.

Q1 2028 uses Q1 2028, Q2 2028, Q3 2028, Q4 2028: 947.301806553T OP ×3.3500 ×1,000 ÷6.283467131B =505,049.36KRW per share.

Q2 2028 uses Q2 2028, Q3 2028, Q4 2028, Q1 2029: 969.832679074T OP ×3.3500 ×1,000 ÷6.195144790B =524,433.18KRW per share.

Q3 2028 uses Q3 2028, Q4 2028, Q1 2029, Q2 2029: 974.150914641T OP ×3.3500 ×1,000 ÷6.106639475B =534,402.85KRW per share.

Q4 2028 uses Q4 2028, Q1 2029, Q2 2029, Q3 2029: 959.192830671T OP ×3.3500 ×1,000 ÷6.026100354B =533,229.75KRW per share.

Q1 2029 uses Q1 2029, Q2 2029, Q3 2029, Q4 2029: 925.368003819T OP ×3.3500 ×1,000 ÷5.949364013B =521,061.21KRW per share.

Q2 2029 uses Q2 2029, Q3 2029, Q4 2029, Q1 2030: 899.621105792T OP ×3.3500 ×1,000 ÷5.875825342B =512,903.38KRW per share.

Q3 2029 uses Q3 2029, Q4 2029, Q1 2030, Q2 2030: 875.492835424T OP ×3.3500 ×1,000 ÷5.804308809B =505,297.20KRW per share.

Q4 2029 uses Q4 2029, Q1 2030, Q2 2030, Q3 2030: 852.900827052T OP ×3.3500 ×1,000 ÷5.743033049B =497,510.24KRW per share.

Q1 2030 uses Q1 2030, Q2 2030, Q3 2030, Q4 2030: 831.766014945T OP ×3.3500 ×1,000 ÷5.689169817B =489,775.53KRW per share.

Q2 2030: forward-four-quarter earnings are incomplete at the model horizon. Ceiling remains blank.

Q3 2030: forward-four-quarter earnings are incomplete at the model horizon. Ceiling remains blank.

Q4 2030: forward-four-quarter earnings are incomplete at the model horizon. Ceiling remains blank.

# 11. Cash conversion, shareholder returns and economic shares

The forecast starts at September 30 broad liquid funds 214.8229 T, debt 17.1912 T and limited operating NWC 161.4452 T. The NWC definition is receivables plus inventory less trade payables. The source deck's broad-cash movement has an unresolved 14.6T instrument/FX/reclassification bridge; this gap remains explicit and receives no recurring inflow credit.

Normalized CFO equals OP less cash tax and cash interest, plus depreciation/amortization, less the increase in operating NWC. FCF then deducts cash capital investment and lease principal. The cash schedule separately states the tax, amortization, intangible purchase and cash-PPE proxies. Unmeasured SBC receives zero cash addback; future customer deposits contribute zero recurring funding. A prior tax-liability settlement is a separately exposed cash stress. Its selected incremental amount is zero; the sensitivity uses the September 30 current-tax liability.

The retained asset-plan D&A baseline combines Q3 depreciation 11.9T and the 0.894358T quarterly amortization proxy. Q4 cash investment remains 26.371352689655T, derived from the current issuer management-capex and cash-PPE bridge. Forward conditional cash PPE and intangible purchases have separate source assumptions. Their incremental asset cohorts alter the noncash D&A component within the selected all-in operating-cost envelope and enter CFO as an addback once.

Samsung estimates 90T-110T total 2026 shareholder returns, of which 35T was planned or completed, leaving 55T-75T. The approved midpoint assumption is 65.0T, allocated to the specified post-board catch-up cohort. Its dividend/buyback mix remains an analytical assumption pending the January 2027 board. From 2027, the owner interim policy allocates 50% of positive FCF, split 41% dividends and 59% buybacks.

The declared 4,601 KRW Q3 dividend totals 30.003T and is scheduled for November 27. Its record date was September 30; a purchase after that date does not acquire this declared distribution. The current source payment and the remaining 2026 return program are counted in their own dated cash cohorts.

Employee-compensation repurchases consume cash and receive zero cancellation credit in the economic denominator. The final purchase settlement derivation supports the remaining Q4 employee-cash input. The economic opening basis retains 6.648649811 B issued common-plus-preferred claims under the sanctioned convention; treasury and grant details remain in the source bridge.

New shareholder-buyback cohorts spend 70% in the next quarter and 30% in the following quarter at the independent execution-price path. The model retires 90% of the whole cohort at the end of the quarter containing the final modeled purchase. Ordinary dividends pay one quarter after earning; Q4-earned dividends pay two quarters later. Legal execution, class allocation and eligibility can differ from these forecast timings.

Cash-return schedules show aggregate company cash in KRW trillions. The annual 1 KRW preferred premium remains inside the budget; per-share entitlement depends on issuer record dates. Personal tax, account-specific withholding and beneficial-ownership eligibility remain outside this gross distribution estimate.

The limited NWC measure omits accrued compensation and other operating liabilities. Their cash settlement and unmeasured SBC addbacks remain cash-conversion limitations. Zero extra SBC addback provides no complete expense-to-liability reconciliation.

Nomura's page 2 prints FY2028 FCF 801.962T beside an empty capex entry. Its cash-flow and return-budget figures support 801.962T CFO less 146.002T net investment, giving 655.960T. The source's rounded investment components are 142.0T cash PPE plus 4.9T intangibles less 0.9T other investing. The owner cash law deducts gross PPE, intangibles and lease principal. It gives no operational-FCF or payout credit to the unidentified other-investing amount.

The broker's 17%/18% tax forecasts apply to pretax book income. The selected cash model retains its 22.4563851092% positive-OP paid-tax proxy. The full 17%/18% cash-rate sensitivities remain explicitly labeled diagnostics. Cash-tax savings require a matched payment and liability bridge.

The broker forecasts positive working-capital CFO contributions of 47.913T in 2027 and 50.831T in 2028. Its broad liability scope differs from the owner's limited receivables-plus-inventory-less-trade-payables measure. The source's wider operating-financing amounts remain separate from recurring funding and distributable cash.

The 65T remaining return-programme midpoint follows the issuer's 55-75T range after 35T planned or completed. Nomura's 30T earmarked plus 60-80T remainder describes the same 90-110T total using a different allocation scope. The source's dividend/buyback mix and preferred-cancellation preferences remain dated scenarios pending the board and execution notices.

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## Appendix 3: Financial Position (Summary)

| KRW billion | 30.Sep.25 | 30.Jun.26 | 30.Sep.26 |
|---|---|---|---|
| **Assets** | **523,659.6** | **759,480.5** | **791,841.9** |
| Cash* | 108,463.8 | 189,999.0 | 214,822.9 |
| A/R | 50,538.8 | 96,409.0 | 106,097.4 |
| Inventories | 50,332.4 | 71,389.1 | 71,995.2 |
| Investments | 38,345.3 | 104,824.5 | 97,241.6 |
| PP&E | 204,861.1 | 224,372.0 | 234,009.3 |
| Intangible assets | 26,469.1 | 29,386.5 | 27,067.0 |
| Other assets | 44,649.1 | 43,100.4 | 40,608.5 |
| **Total assets** | **523,659.6** | **759,480.5** | **791,841.9** |
| **Liabilities** | **110,158.1** | **180,170.8** | **177,730.3** |
| Debts | 16,672.3 | 22,408.7 | 17,191.2 |
| Trade accounts and N/P | 14,417.4 | 17,204.7 | 16,647.4 |
| Other accounts and N/P & accrued expenses | 43,313.5 | 53,642.2 | 67,064.8 |
| Current income tax liabilities | 6,189.6 | 30,303.1 | 24,387.8 |
| Unearned revenue & other advances | 2,953.8 | 4,466.5 | 3,810.2 |
| Other liabilities | 26,611.5 | 52,145.6 | 48,628.9 |
| **Shareholder equity** | **413,501.5** | **579,309.7** | **614,111.6** |
| Capital stock | 897.5 | 897.5 | 897.5 |
| **Total liabilities & shareholder equity** | **523,659.6** | **759,480.5** | **791,841.9** |

* Cash = Cash and Cash equivalents Short-term financial instruments Short-term financial assets at amortized cost, etc.

| | 30.Sep.25 | 30.Jun.26 | 30.Sep.26 |
|---|---|---|---|
| Current ratio* | 263% | 283% | 310% |
| Liability/equity | 27% | 31% | 29% |
| Debt/equity | 4% | 4% | 3% |
| Net debt/equity | (22%) | (29%) | (32%) |

* Current ratio = current assets/current liabilities

Samsung Q3 2026 issuer September30 balance sheet. Broad liquid funds, trade accounts and liabilities anchor the prospective cash bridge.

# Appendix 4: Cash Flow (Summary)

| KRW trillion | 3Q 25 | 2Q 26 | 3Q 26 |
|---|---|---|---|
| **Cash** (beginning of period)* | 100.7 | 147.4 | 190.0 |
| **Cash flows from operating activities** | 22.6 | 105.1 | 98.6 |
| Net profit | 12.2 | 71.6 | 75.1 |
| Depreciation | 11.0 | 12.1 | 11.9 |
| **Cash flows from investing activities** | (13.0) | (47.3) | (35.2) |
| Purchase of PP&E | (10.8) | (14.1) | (26.9) |
| **Cash flows from financing activities** | (4.2) | (17.9) | (24.0) |
| Increase in debts | 2.1 | (6.1) | (4.6) |
| Acquisition of treasury stock | (3.9) | (5.6) | (12.5) |
| Payment of dividends | (2.5) | (6.2) | (2.5) |
| **Increase in cash** | 7.7 | 42.6 | 24.8 |
| **Cash** (end of period)* | 108.5 | 190.0 | 214.8 |

* Cash = Cash and cash equivalents short-term financial instruments short-term financial assets at amortized cost, etc.

## Current State of Net Cash (Net Cash = Cash* - Debts)

| KRW trillion | 30.Sep.25 | 30.Jun.26 | 30.Sep.26 |
|---|---|---|---|
| **Net Cash** | 91.8 | 167.6 | 197.6 |

* Cash = Cash and cash equivalents short-term financial instruments short-term financial assets at amortized cost, etc.

## Shareholder Return Update

- Total cash dividends for the third quarter amount to KRW 30 trillion (KRW 4,601 per common share and KRW 4,601 per preferred share)
- Of the estimated KRW 90~110 trillion in total shareholder returns for 2026, and with KRW 35 trillion already planned or completed, we anticipate the remaining funds to be KRW 55~75 trillion
- The return of the remaining funds will include a substantial share repurchase and cancellation program, along with cash dividends
- The Company recognizes the growing market interest in the price gap between common and preferred shares, and we are committed to actively considering and adjusting the proportion of preferred shares in our share repurchase and cancellation program based on market conditions
- The next shareholder return policy, along with the final amount of shareholder returns and the specific execution plans for the remaining funds for 2026, will be finalized at the Board meeting scheduled for late January 2027, with an announcement to follow

Samsung Q3 2026 issuer cash-flow presentation. Cash PP&E, current dividend payments and treasury acquisitions have distinct timing and purposes.

**Fig. 28: SEC – FCF/EV and FCF/MC analysis**

| (KRWtn) | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025P | 2026F | 2027F | 2028F |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Operating cash flow** | **67.0** | **45.4** | **65.3** | **65.1** | **62.2** | **44.1** | **73.0** | **85.3** | **383.5** | **662.6** | **802.0** |
| NP | 44.3 | 21.7 | 26.4 | 39.9 | 54.7 | 14.5 | 33.6 | 44.3 | 301.2 | 566.1 | 677.7 |
| Dep | 25.2 | 26.6 | 27.1 | 31.3 | 36.0 | 35.5 | 39.6 | 43.6 | 48.3 | 57.3 | 70.2 |
| working capital change | -10.3 | -6.7 | 11.7 | -6.1 | -28.5 | -5.9 | -0.3 | -2.6 | 34.1 | 39.3 | 54.1 |
| **Investment Cash Flow** | **-30.3** | **-27.6** | **-39.5** | **-47.2** | **-52.2** | **-59.6** | **-52.8** | **-53.5** | **-88.7** | **-108.8** | **-146.0** |
| Capex | -29.6 | -25.4 | -37.6 | -47.1 | -49.4 | -57.6 | -51.4 | -47.5 | -85.1 | -105.0 | -142.0 |
| intangible asset | -1.0 | -3.2 | -2.7 | -2.7 | -3.7 | -2.9 | -2.3 | -4.6 | -4.4 | -4.7 | -4.9 |
| Net M&A | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | -2.2 | 0.0 | 0.0 | 0.0 |
| Others | 0.3 | 1.0 | 0.8 | 2.7 | 0.9 | 0.9 | 0.9 | 0.9 | 0.9 | 0.9 | 0.9 |
| **Free Cash Flow** | **36.8** | **17.8** | **25.8** | **17.9** | **10.0** | **-15.5** | **20.1** | **31.9** | **294.8** | **553.9** | **656.0** |
| **Share holder return (cash flow basis)** | **18.4** | **8.9** | **12.9** | **9.0** | **5.0** | **-7.7** | **10.1** | **15.9** | **147.4** | **276.9** | **328.0** |
| % of FCF | 50% | 50% | 50% | 50% | 50% | 50% | 50% | 50% | 50% | 50% | 50% |
| sharebuy back | 0.9 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 1.8 | 8.2 | 28.3 | 67.8 | 179.9 |
| cash dividend | 10.2 | 9.6 | 9.7 | 20.5 | 9.8 | 9.9 | 10.9 | 9.9 | 38.6 | 79.1 | 229.6 |
| **Net Cash (including marketing securities)** | **81.7** | **84.7** | **101.6** | **102.4** | **104.5** | **79.1** | **93.3** | **101.4** | **271.3** | **680.4** | **920.9** |

Note: 2018-2025 share price as of year-end and 2026-28F share price as of 29 October 2026.
Source: Company data, Nomura estimates

Nomura, October 29, 2026, page 11, Figure 28, cash-flow and return-budget excerpt with source note. The excerpt ends before the share-price and valuation rows. Gross cash investment and owner FCF retain the separate reconciliation in this report.

**Fig. 29: SEC – dividend yield and shareholder returns yield**

| | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026F | 2027F | 2028F |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **FCF (KRWbn)** | **36,755** | **17,765** | **25,815** | **17,983** | **9,955** | **(15,497)** | **20,141** | **31,862** | **294,785** | **553,879** | **655,960** |
| **Annual shareholder return budget (KRWbn; balance sheet basis)** | **18,377** | **8,883** | **12,908** | **8,992** | **4,977** | **(7,748)** | **10,070** | **15,931** | **147,393** | **276,939** | **327,980** |
| **Annual shareholder return budget per share (KRW)** | **2,705** | **1,308** | **1,900** | **1,324** | **733** | **(1,141)** | **1,491** | **2,403** | **23,021** | **44,122** | **54,195** |
| * (30% x preceding FCF for 2015; the rest 50% x preceding year FCF; KRWbn) | | | | | | | | | | | |
| **Annual cash dividends (KRWbn; balance sheet basis)** | **7,079** | **9,619** | **20,338** | **9,820** | **9,819** | **9,820** | **9,806** | **11,113** | **79,576** | **97,080** | **227,387** |
| Common shares | 6,226 | 8,453 | 17,874 | 8,629 | 8,629 | 8,629 | 8,618 | 9,768 | 69,772 | 85,134 | 199,849 |
| Preferred shares | 853 | 1,166 | 2,465 | 1,190 | 1,189 | 1,190 | 1,189 | 1,345 | 9,804 | 11,946 | 27,538 |
| **Annually remaining shareholder return budget (KRWbn)** | **11,299** | **(737)** | **(7,430)** | **(828)** | **(4,841)** | **(17,568)** | **264** | **4,818** | **67,816** | **179,860** | **100,593** |
| *(Annual shareholder return budget - annual cash dividends) | | | | | | | | | | | |
| **Accumulated Annual shareholder return budget (KRWbn)** | | **10,562** | **3,132** | **2,304** | **(2,538)** | **(20,106)** | **(19,842)** | **(15,024)** | **52,793** | **232,652** | **333,245** |

Note: 2018-2025 share price as of year-end and 2026-28F share price as of 29 October 2026.
Source: Company data, Nomura estimates

Nomura, October 29, 2026, page 12, Figure 29, FCF and return-budget excerpt with source note. FY2028 FCF is 655,960 KRW bn. The source budget uses its broad cash and balance-sheet conventions.

## Gross investment, depreciation and source cash scope

| Year | CFO T | Cash PPE T | Intangibles T | Lease T | Owner FCF T | D&A T |
|---|---|---|---|---|---|---|
| 2027 | 595.939715 | 114.233989 | 3.825650 | 1.400178 | 476.479898 | 73.743395 |
| 2028 | 788.214048 | 141.790293 | 3.885650 | 1.400178 | 641.137928 | 87.546631 |
| 2029 | 826.199503 | 139.536972 | 3.668289 | 1.400178 | 681.594064 | 86.284218 |
| 2030 | 737.448518 | 130.452992 | 3.450928 | 1.400178 | 602.144419 | 80.850600 |

The conditional gross cash investment is 105T PPE plus 4.7T intangibles in 2027 and 142T PPE plus 4.9T intangibles in 2028. The source net-investing totals of 108.769T and 146.002T include a different scope. The model receives zero recurring FCF credit for the unidentified other-investing proceeds. Owner FCF deducts gross PPE, intangibles and lease principal from CFO.

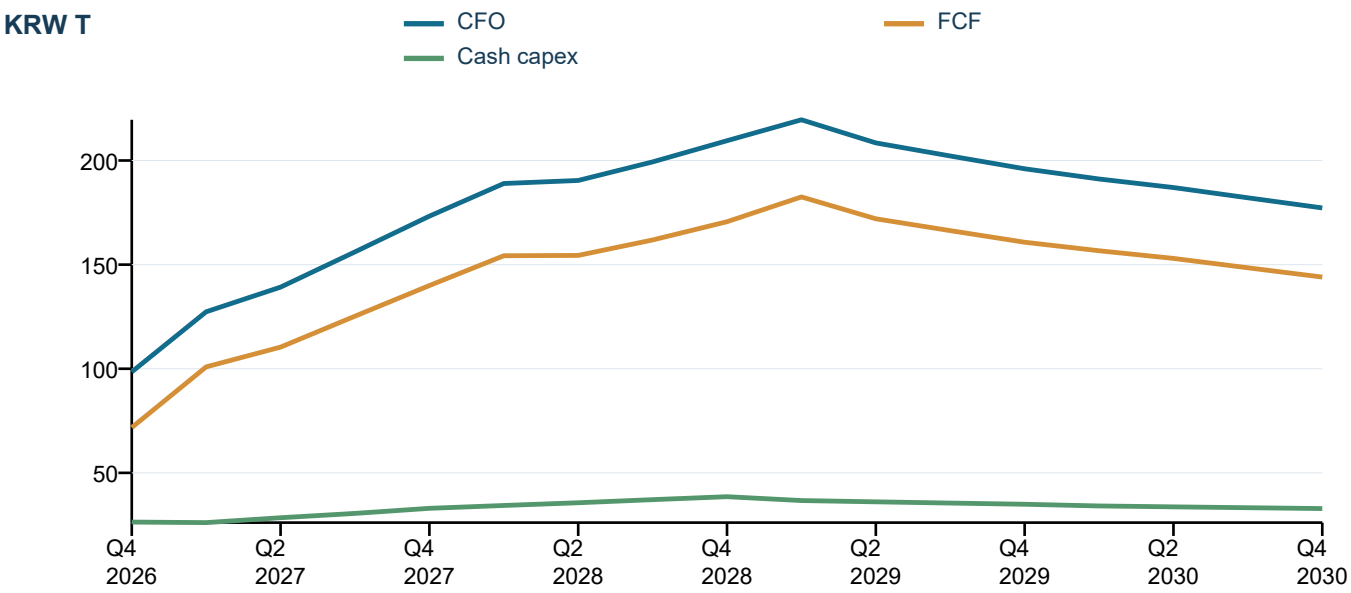
The model uses a two-quarter in-service lag and five-year life for incremental PPE, and a one-quarter lag and three-year life for incremental intangibles. The capital-cohort calculation adjusts the existing asset-plan D&A. Depreciation is already within all-in operating costs and enters the cash conversion as one noncash addback. New capacity has no duplicate output credit.

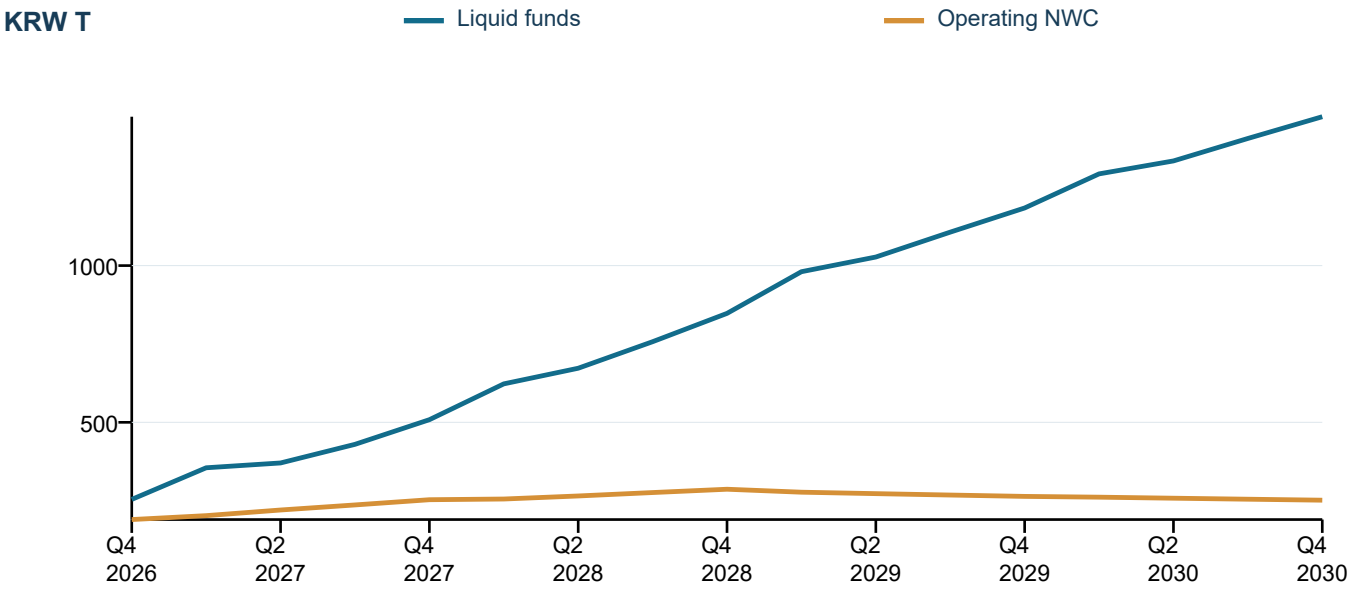
| Broker cash-flow bridge | 2027 T | 2028 T |
|---|---|---|
| EBITDA | 725.725 | 882.317 |
| Printed working-capital contribution | 47.913 | 50.831 |
| Other operating cash flow | -110.990 | -131.185 |
| Printed CFO | 662.648 | 801.962 |
| Book EBT | 682.980 | 827.454 |
| Book tax | 116.107 at 17% | 148.942 at 18% |

The 2028 EBITDA bridge gives 801.963T before the source rounding difference of 0.001T. These broad operating-liability and tax-payment scopes differ from receivables plus inventory less trade payables in the selected limited-NWC law. The source residual supplies zero unverified customer-deposit, compensation or funding inflow.

Page 2 prints FY2028 FCF of 801.962T beside blank capex. Page 12 Figure 29 prints 655.960T, which reconciles 801.962T CFO less 146.002T net investment. The report preserves this discrepancy and the separate owner gross-investment FCF definition.

The remaining issuer programme midpoint stays 65T within the 55T-75T range. The source forecast of a different earmarked amount describes the same total programme scope. Paid dividends, shareholder buybacks, employee-compensation acquisitions and cancelled shares each retain their own schedule. The selected valuation uses end-quarter combined common and preferred economic claims.




Model figure M6. Cash conversion, working capital and liquid funds. Numerical table follows; all values use the model.

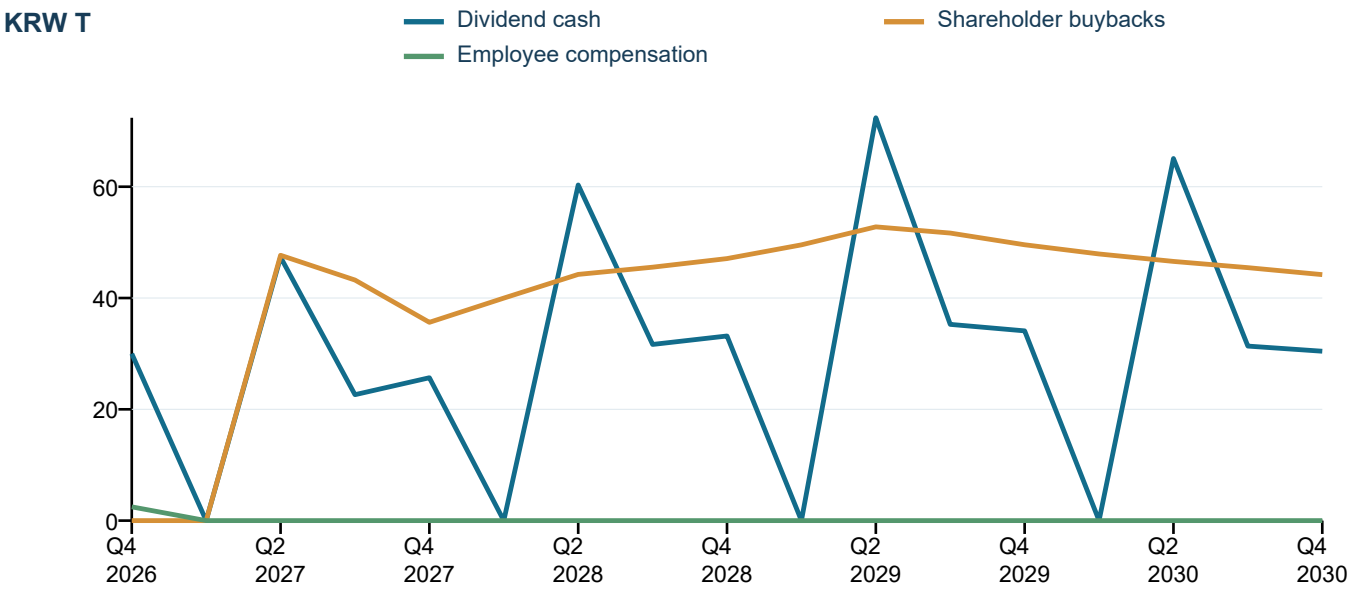
**Model figure M6 data: Cash conversion, working capital and liquid funds**

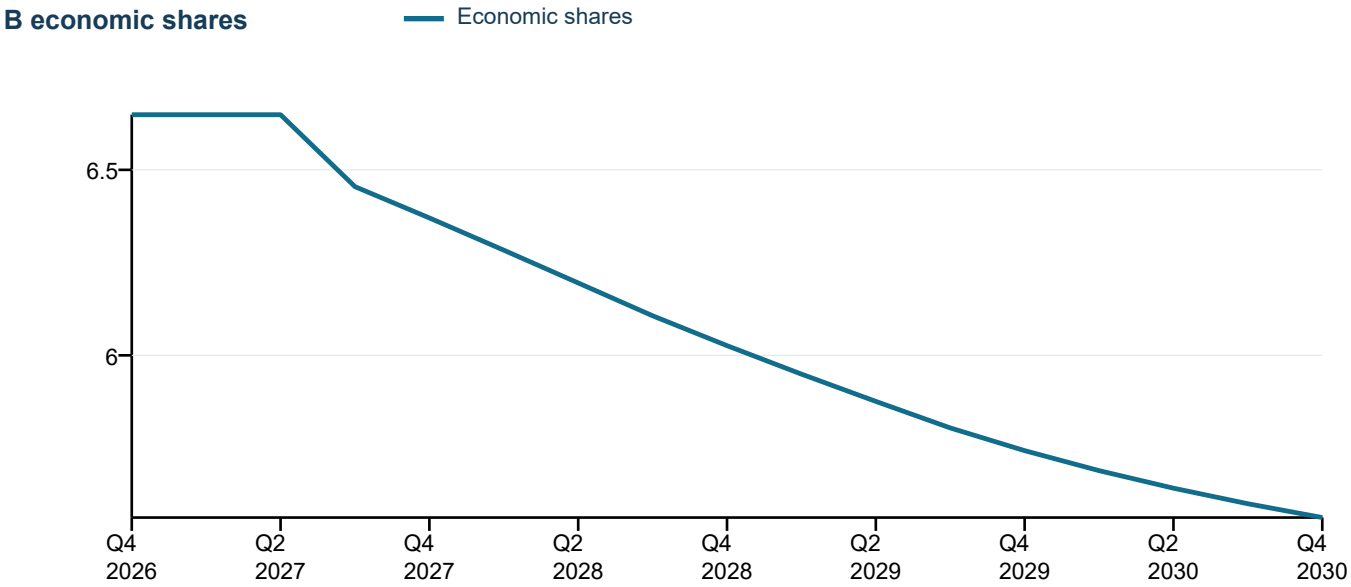
| Quarter | CFO | Cash capex | Lease | FCF | End NWC | Liquid funds |
|---|---|---|---|---|---|---|
| Q4 2026 | 98.491 | 26.371 | 0.350 | 71.770 | 189.851 | 254.118 |
| Q1 2027 | 127.354 | 26.109 | 0.350 | 100.895 | 202.322 | 355.014 |
| Q2 2027 | 139.191 | 28.452 | 0.350 | 110.389 | 220.320 | 370.389 |
| Q3 2027 | 156.122 | 30.530 | 0.350 | 125.242 | 236.469 | 429.772 |
| Q4 2027 | 173.272 | 32.968 | 0.350 | 139.953 | 253.131 | 508.419 |
| Q1 2028 | 188.954 | 34.337 | 0.350 | 154.268 | 255.358 | 622.702 |
| Q2 2028 | 190.417 | 35.647 | 0.350 | 154.420 | 265.091 | 672.565 |
| Q3 2028 | 199.329 | 37.137 | 0.350 | 161.842 | 275.994 | 757.211 |
| Q4 2028 | 209.514 | 38.556 | 0.350 | 170.608 | 286.554 | 847.554 |

| Model figure M6 data: Cash conversion, working capital and liquid funds | | | | | | |
|---|---|---|---|---|---|---|
| Quarter | CFO | Cash capex | Lease | FCF | End NWC | Liquid funds |
| Q1 2029 | 219.559 | 36.701 | 0.350 | 182.508 | 277.105 | 980.509 |
| Q2 2029 | 208.450 | 36.088 | 0.350 | 172.011 | 272.498 | 1,027.345 |
| Q3 2029 | 202.169 | 35.495 | 0.350 | 166.324 | 268.038 | 1,106.734 |
| Q4 2029 | 196.022 | 34.921 | 0.350 | 160.751 | 263.721 | 1,183.819 |
| Q1 2030 | 191.118 | 34.109 | 0.350 | 156.659 | 261.236 | 1,292.563 |
| Q2 2030 | 187.016 | 33.680 | 0.350 | 152.987 | 257.946 | 1,333.905 |
| Q3 2030 | 182.088 | 33.261 | 0.350 | 148.477 | 254.742 | 1,405.563 |
| Q4 2030 | 177.226 | 32.854 | 0.350 | 144.022 | 251.623 | 1,474.948 |

## OP-to-cash derivation

| Quarter | OP | D&A | Cash tax | Interest | NWC change | CFO |
|---|---|---|---|---|---|---|
| Q4 2026 | 144.108 | 15.270 | 32.361 | 0.120 | 28.405 | 98.491 |
| Q1 2027 | 159.430 | 16.319 | 35.802 | 0.120 | 12.472 | 127.354 |
| Q2 2027 | 179.913 | 17.798 | 40.402 | 0.120 | 17.998 | 139.191 |
| Q3 2027 | 197.725 | 19.067 | 44.402 | 0.120 | 16.148 | 156.122 |
| Q4 2027 | 218.581 | 20.559 | 49.085 | 0.120 | 16.662 | 173.272 |
| Q1 2028 | 220.071 | 20.651 | 49.420 | 0.120 | 2.227 | 188.954 |
| Q2 2028 | 230.672 | 21.399 | 51.801 | 0.120 | 9.733 | 190.417 |
| Q3 2028 | 242.496 | 22.313 | 54.456 | 0.120 | 10.904 | 199.329 |
| Q4 2028 | 254.063 | 23.184 | 57.053 | 0.120 | 10.559 | 209.514 |
| Q1 2029 | 242.602 | 22.109 | 54.480 | 0.120 | -9.448 | 219.559 |
| Q2 2029 | 234.990 | 21.743 | 52.770 | 0.120 | -4.607 | 208.450 |
| Q3 2029 | 227.538 | 21.388 | 51.097 | 0.120 | -4.460 | 202.169 |
| Q4 2029 | 220.238 | 21.045 | 49.458 | 0.120 | -4.317 | 196.022 |
| Q1 2030 | 216.855 | 20.597 | 48.698 | 0.120 | -2.485 | 191.118 |
| Q2 2030 | 210.862 | 20.336 | 47.352 | 0.120 | -3.290 | 187.016 |
| Q3 2030 | 204.946 | 20.082 | 46.023 | 0.120 | -3.204 | 182.088 |
| Q4 2030 | 199.103 | 19.835 | 44.711 | 0.120 | -3.119 | 177.226 |




Model figure M7. Cash returns and economic shares. Numerical table follows; all values use the model.

**Model figure M7 data: Cash returns and economic shares**

| Quarter | Div.cash | Buyback cash | Employee cash | Retired B | Shares B |
|---|---|---|---|---|---|
| Q4 2026 | 30.003 | 0.000 | 2.471 | 0.000000 | 6.648649811 |
| Q1 2027 | 0.000 | 0.000 | 0.000 | 0.000000 | 6.648649811 |
| Q2 2027 | 47.334 | 47.680 | 0.000 | 0.000000 | 6.648649811 |
| Q3 2027 | 22.630 | 43.230 | 0.000 | 0.193946 | 6.454703814 |
| Q4 2027 | 25.675 | 35.632 | 0.000 | 0.084294 | 6.370409452 |
| Q1 2028 | 0.000 | 39.984 | 0.000 | 0.086942 | 6.283467131 |
| Q2 2028 | 60.315 | 44.242 | 0.000 | 0.088322 | 6.195144790 |
| Q3 2028 | 31.656 | 45.540 | 0.000 | 0.088505 | 6.106639475 |
| Q4 2028 | 33.178 | 47.087 | 0.000 | 0.080539 | 6.026100354 |

| Model figure M7 data: Cash returns and economic shares | | | | | |
|---|---|---|---|---|---|
| Quarter | Div.cash | Buyback cash | Employee cash | Retired B | Shares B |
| Q1 2029 | 0.000 | 49.554 | 0.000 | 0.076736 | 5.949364013 |
| Q2 2029 | 72.389 | 52.787 | 0.000 | 0.073539 | 5.875825342 |
| Q3 2029 | 35.262 | 51.672 | 0.000 | 0.071517 | 5.804308809 |
| Q4 2029 | 34.096 | 49.569 | 0.000 | 0.061276 | 5.743033049 |
| Q1 2030 | 0.000 | 47.915 | 0.000 | 0.053863 | 5.689169817 |
| Q2 2030 | 65.069 | 46.576 | 0.000 | 0.047326 | 5.641843846 |
| Q3 2030 | 31.362 | 45.456 | 0.000 | 0.041928 | 5.599915462 |
| Q4 2030 | 30.438 | 44.200 | 0.000 | 0.037223 | 5.562692210 |

## Budgets, payment lags and funding

| Quarter | Div.earned | Buyback earned | Opening cash | FCF | Total cash uses | Closing cash |
|---|---|---|---|---|---|---|
| Q4 2026 | 0.000 | 0.000 | 214.823 | 71.770 | 32.474 | 254.118 |
| Q1 2027 | 47.334 | 68.114 | 254.118 | 100.895 | 0.000 | 355.014 |
| Q2 2027 | 22.630 | 32.565 | 355.014 | 110.389 | 95.013 | 370.389 |
| Q3 2027 | 25.675 | 36.946 | 370.389 | 125.242 | 65.859 | 429.772 |
| Q4 2027 | 28.690 | 41.286 | 429.772 | 139.953 | 61.307 | 508.419 |
| Q1 2028 | 31.625 | 45.509 | 508.419 | 154.268 | 39.984 | 622.702 |
| Q2 2028 | 31.656 | 45.554 | 622.702 | 154.420 | 104.557 | 672.565 |
| Q3 2028 | 33.178 | 47.743 | 672.565 | 161.842 | 77.197 | 757.211 |
| Q4 2028 | 34.975 | 50.329 | 757.211 | 170.608 | 80.264 | 847.554 |
| Q1 2029 | 37.414 | 53.840 | 847.554 | 182.508 | 49.554 | 980.509 |
| Q2 2029 | 35.262 | 50.743 | 980.509 | 172.011 | 125.176 | 1,027.345 |
| Q3 2029 | 34.096 | 49.065 | 1,027.345 | 166.324 | 86.935 | 1,106.734 |
| Q4 2029 | 32.954 | 47.422 | 1,106.734 | 160.751 | 83.665 | 1,183.819 |
| Q1 2030 | 32.115 | 46.214 | 1,183.819 | 156.659 | 47.915 | 1,292.563 |
| Q2 2030 | 31.362 | 45.131 | 1,292.563 | 152.987 | 111.645 | 1,333.905 |
| Q3 2030 | 30.438 | 43.801 | 1,333.905 | 148.477 | 76.818 | 1,405.563 |
| Q4 2030 | 29.524 | 42.486 | 1,405.563 | 144.022 | 74.638 | 1,474.948 |

## Gross dividend per-share scope and eligibility

Future distribution schedules show aggregate dividend cash. This model binding supplies no future gross-DPS series. The source-declared 4,601 KRW distribution belongs to September 30 eligible holders and its November 27 payment date. Eligibility, preferred premiums and personal tax require confirmed inputs.

# 12. Industry relationships and cross-book implications

SK hynix and Micron provide comparisons for HBM qualifications, accepted output, contract structure and conventional-memory allocation. Sandisk and Kioxia provide NAND pricing, enterprise SSD and supply-discipline evidence. Samsung's latest quarter and MU's fiscal guide overlap for only part of their periods; translate evidence through timing and product exposure.

Memory strength supports advanced packaging, test, substrates and equipment demand. Samsung-specific order capture is required to attribute profit to a supplier. LPKF's glass-processing opportunity remains a contingent equipment flow-through. Device and system vendors can experience higher component costs while memory manufacturers benefit from scarcity.

Foundry, packaging, memory and system demand overlap within Samsung and across suppliers. The company-level paths count each underlying demand pool and its economic capture once.

# 13. Catalysts, risks and falsification tests

Near-term catalysts are accepted HBM4 shipments, the 2027 HBM price reset, HBM4E qualification, enterprise TLC/QLC adoption, LTA execution and January 2027 capital-return decisions. Foundry utilization and 2nm customer ramp timing affect the non-memory recovery. Cash-return finalization and actual buyback execution remain separate dated milestones.

The principal risks are competitive supply and pricing; HBM/package/foundry execution; governance, cash allocation and share-class treatment; and customer/device demand. Each already contributes one point to the aggregate four-point score deduction.

Challenge the output path against productive wafers, accepted bits, cleanroom and equipment availability. Challenge price persistence against realized ASP, contract bands, renegotiations and customer financing. Challenge product costs against packaging intensity, base-die requirements, yield and incentives. Challenge cash conversion against tax settlements, NWC, capex, deposit repayments and compensation cash.

The 2029-2030 profit path remains sensitive to new supply and architectural change. The sensitivity table recomputes earnings, cash, funded retirement and shares through the same cash schedule. It identifies the assumptions with the greatest valuation effect.

The cost-reset exclusion diagnostic retains current KRW unit-cost indices and existing HBM manufacturing stresses at conditional volumes, with the source FX path and current 40% manufacturing natural hedge. It gives an active Q4 2027 ceiling of KRW 483,697.49. The selected annual-to-Q3 cost normalization gives KRW 479,497.55. This isolates the practical effect of that cost-basis uncertainty while the remaining source assumptions stay fixed.

The no-new-event and full-source endpoints, probability changes, cash-tax alternatives, capital inputs, in-service lag and manufacturing-cost stresses all pass through complete cash and share calculations. The separate state-price-weighted diagnostic differs from the selected input-weighted method by about KRW 46.29 at Q4 2027. The selected primary formula remains unchanged.

| Diagnostic | Active KRW | F4 OP T | Shares B | Minimum cash T |
|---|---|---|---|---|
| No incremental source, p=0 | 504,188.17 | 957.999908 | 6.365281583 | 253.970823 |
| Full conditional outcome, p=1 | 422,040.38 | 804.065598 | 6.382374481 | 254.462500 |
| joint_probability_10pct | 495,953.55 | 942.606477 | 6.366990873 | 254.019991 |
| joint_probability_50pct | 463,059.20 | 881.032753 | 6.373828032 | 254.216661 |
| no_new_FX | 492,996.31 | 936.922623 | 6.366560439 | 253.994918 |

| Diagnostic | Active KRW | F4 OP T | Shares B | Minimum cash T |
|---|---|---|---|---|
| no_new_capital_inputs | 479,398.59 | 911.819615 | 6.371724486 | 254.118326 |
| conditional_manufacturing_cost_plus 20pct | 474,193.97 | 902.059027 | 6.372703830 | 254.118326 |
| capex_asset_inservice_lag4q | 479,497.55 | 911.819615 | 6.370409452 | 254.118326 |
| cash_tax_17pct_DIAGNOSTIC_ONLY | 480,614.37 | 911.819615 | 6.355606229 | 261.981398 |
| cash_tax_18pct_DIAGNOSTIC_ONLY | 480,409.30 | 911.819615 | 6.358319239 | 260.540321 |
| Exclude new cost normalization | 483,697.49 | 919.666145 | 6.369438892 | 254.118326 |

Each row recalculates the complete operating, tax, NWC, investment, cash-payment and funded-retirement schedule. Cash-tax rates of 17% and 18% are diagnostics of unresolved paid-tax timing. The selected cash tax remains 22.4563851092% of positive OP.

### Nonlinear price-weighting comparison

| Quarter | Selected input-weighted KRW | State-first diagnostic KRW | Difference KRW |
|---|---|---|---|
| Q4 2026 | 307,360.00 | 307,360.00 | -0.000 |
| Q1 2027 | 350,908.53 | 350,908.53 | 0.000 |
| Q2 2027 | 389,811.96 | 389,811.96 | -0.000 |
| Q3 2027 | 438,246.03 | 438,263.62 | 17.588 |
| Q4 2027 | 479,497.55 | 479,543.84 | 46.287 |
| Q1 2028 | 505,049.36 | 505,130.09 | 80.732 |
| Q2 2028 | 524,433.18 | 524,536.34 | 103.160 |
| Q3 2028 | 534,402.85 | 534,543.65 | 140.792 |
| Q4 2028 | 533,229.75 | 533,388.80 | 159.047 |
| Q1 2029 | 521,061.21 | 521,221.10 | 159.892 |
| Q2 2029 | 512,903.38 | 513,057.34 | 153.952 |
| Q3 2029 | 505,297.20 | 505,429.98 | 132.777 |
| Q4 2029 | 497,510.24 | 497,604.19 | 93.943 |
| Q1 2030 | 489,775.53 | 489,823.99 | 48.458 |

The selected method weights operating and capital inputs, then recomputes the cash and end-quarter share denominator. Weighting the two fully funded state prices separately gives a Q4 2027 diagnostic of KRW 479,543.84, a KRW 46.29 difference. The primary selected ceiling is KRW 479,497.55.

## 14. Source inventory and completeness

The issuer Q3 presentation, local-language and global releases, dividend disclosure, listing and treasury notices provide primary financial and capital-return evidence. The saved original payloads, source dates, hashes, call originals and extraction derivatives are listed below.

The latest and prior complete Quartr call bodies provide management and Q&A coverage. Official replay wrappers are retained; spoken audio has not been listened to. Provider unit errors are checked against issuer financial tables. The deck was supplied before external review completed.

Product-level revenue and OP, exact HBM yield, Q4 ASP, contract price levels, recurring FCF adjustments, exact future cancellation/class allocation and the broad-cash bridge remain specific gaps. Owner-supplied KB, IA and TrendForce material retains its original attribution and limits. The original revised TrendForce NAND table has not been independently recovered.

The charts and quarterly tables use the financial model identified in the calculation appendix. The original input snapshot and validated workbook identities are recorded there.

Nomura's 29 October 2026 report contains 19 pages. Its 14 substantive/history pages and five disclosure pages were reviewed from the exact saved original. Its company operating and cash data are used as attributed forecasts. Broker targets and their valuation assumptions supply no model authority.

The source's DRAM unit-label conflict, annual-versus-quarterly aggregation differences, undisclosed product-cost bases, book-versus-cash tax definitions and conflicting FCF entries are retained in the source register. Model charts use matched normalized inputs and current derived statements. Original relevant excerpts sit beside their substantive use.

The 6 November issuer freshness check was bounded to the official current Q3 news release and visible event listing. The official IR earnings-release route was inaccessible. The saved complete management-call bodies remain the verified latest two calls in this source set; spoken audio remains unreviewed.

## Source dates, completeness and identifiable gaps

Nomura Samsung Electronics, October 29, 2026, production time 10:11 UTC: all 19 pages were reviewed, with pages 1-14 carrying substantive/history material and pages 15-19 disclosures. This selected packet contains no new issuer event. Broker operating assumptions enter the explicitly weighted scenario; broker valuation targets receive zero model input.

Latest management call: Q3 2026, October 29 at 10:00 Korea time, corresponding to October 28 at 21:00 Toronto. The Quartr full-body transcript has 94 paragraphs and 54,248 characters: paragraphs 1-36 prepared remarks, 37-93 Q&A and 94 closing. The Q2 2026 call has 99 paragraphs and 64,425 characters: 1-32 prepared, 33-98 Q&A and 99 closing. Original and derived paragraph bodies were checked against the cached complete read receipts.

The audio was unavailable for this review. A company-written full transcript was unavailable in the saved source set. Provider speaker labels and unit transcription can contain errors; issuer presentations anchor financial units. The Q3 presentation was supplied before external review completion.

A bounded November 6 issuer freshness check of the official Q3 release confirmed group revenue 195.3T, OP 107.4T, 84.4T capex and the remaining return-programme range. The official IR earnings-release path was inaccessible in that check. The visible current official event was October 29; comprehensive global source coverage is unverified.

Unit completeness: Nomura page 7 Figure 11 prints DRAM units as 1Gb equivalent; page 9 Figure 20 prints 8Gb equivalent for matching values. The source ratio calculation preserves this inconsistency. NAND prints 8GB equivalent. Comparable full-year product unit-cost denominators, absolute usable wafer capacity, detailed node yields and paid-tax/liability roll-forwards remain unavailable.

## Dated source figure provenance

Retained source figures include Samsung Q2 and Q3 2026 presentations; KB Securities October 1, 2026; and the owner-supplied May 31 architecture article reproducing the stated Furiosa and NVIDIA research conditions. New Nomura panels carry the October 29 date, page and figure number in each caption. Discontinuous cash

excerpts preserve their selected original rows and source note.

| Evidence | SHA-256 |
|---|---|
| 005930KS_Samsung_FINANCIAL_SELECTED_R1.json | d24952f32aab8b2f7251d78cf5aed42727b6b911b490f38d26bd45ea1570567e |
| 005930KS_Samsung_VALUED_SELECTED_R1.json | d2c4a2dcf42b0575a7b80394dd7a0028e5be8f01975fd8dfe1e0da9aa29a53c4 |
| SAMSUNG_REPORT_PROSE_DRAFT_R3.json | 9fcce5842dce30765fe33d8473e463c79cf7042be3e2462e1c4a5325c086e155 |
| CACHED_CALL_SCOPE_AND_ANCHOR_RECEIPT_R1.json | bbf1e32256d10d50d2118706de0740ebc180746df6d97d72bbc1f7d4d01b42c7 |
| NOMURA_SAMSUNG_ORIGINAL.pdf | e2ef4de1b4a20393d5503650f845ec3a7b02aa73031d50ef0a5864283ac04269 |
| BROKER_OPERATING_INPUT_TABLE_R2.json | b9330772c9c64def72c0b97e4045d4733ebd28c818db64fa409b9e432ac838c8 |
| BROKER_CASH_TAX_RETURN_INPUTS_R1.json | 68aee1cae2b3dafc71ccbeaf2140ead0f7e72076e184dc0cbb98db29d43a3e61 |

## Model and saved-file identities

Selected financial payload SHA-256: d24952f32aab8b2f7251d78cf5aed42727b6b911b490f38d26bd45ea1570567e.

Selected valuation payload SHA-256: d2c4a2dcf42b0575a7b80394dd7a0028e5be8f01975fd8dfe1e0da9aa29a53c4.

Saved standalone formula workbook SHA-256: 429f93cd2dbf5121aff36e0004890afe3f71ad25a8eebca7f3d5a54107579412.

Saved master workbook SHA-256: 8b0247d39dbd597a9ce91fdf8c2c5d401a5068445169d24518d998ce5d1db0d7.

The standalone Samsung workbook contains the live financial and cash/share calculation. The main portfolio workbook retains one visible Master Portfolio sheet. Published Q3 2026 and earlier forecast displays retain their original formulas and values. The latest reported-actual bridge is kept separately.